

MODULE 1

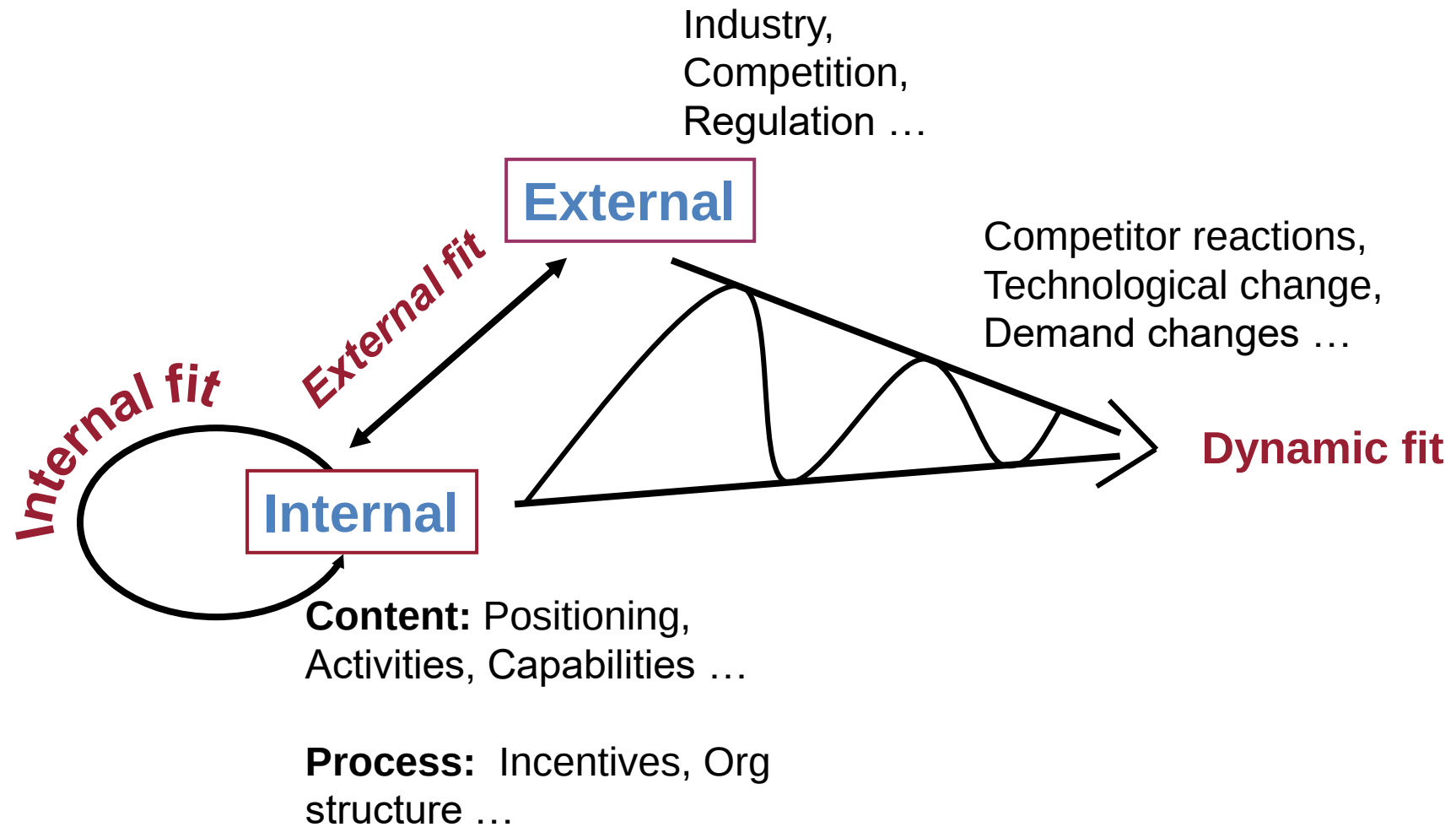
Analyze your firm's internal fit



ONLINE

Defining Strategy and Introduction to Internal Fit

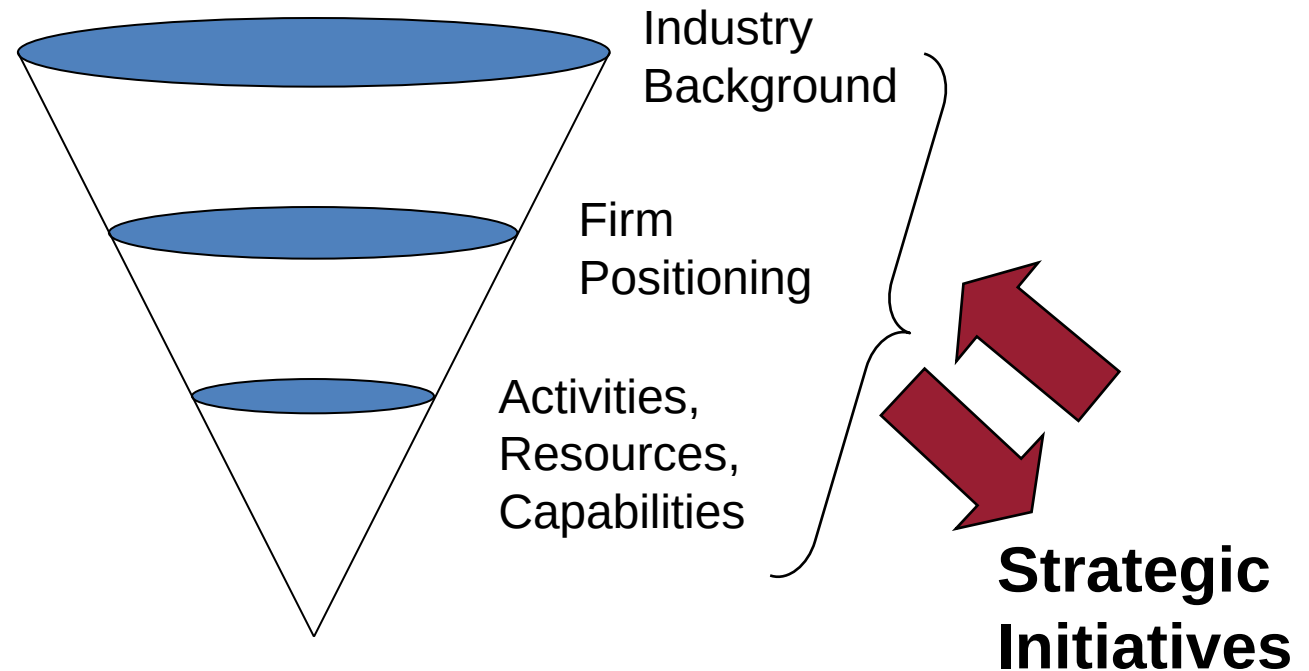
Three types of fit to evaluate a strategy



Strategy Audit

Tools

- Industry Analysis
- Scenarios
- Drivers of Cost and WTP
- Strategic Positioning
- Value Chain
- Activity System

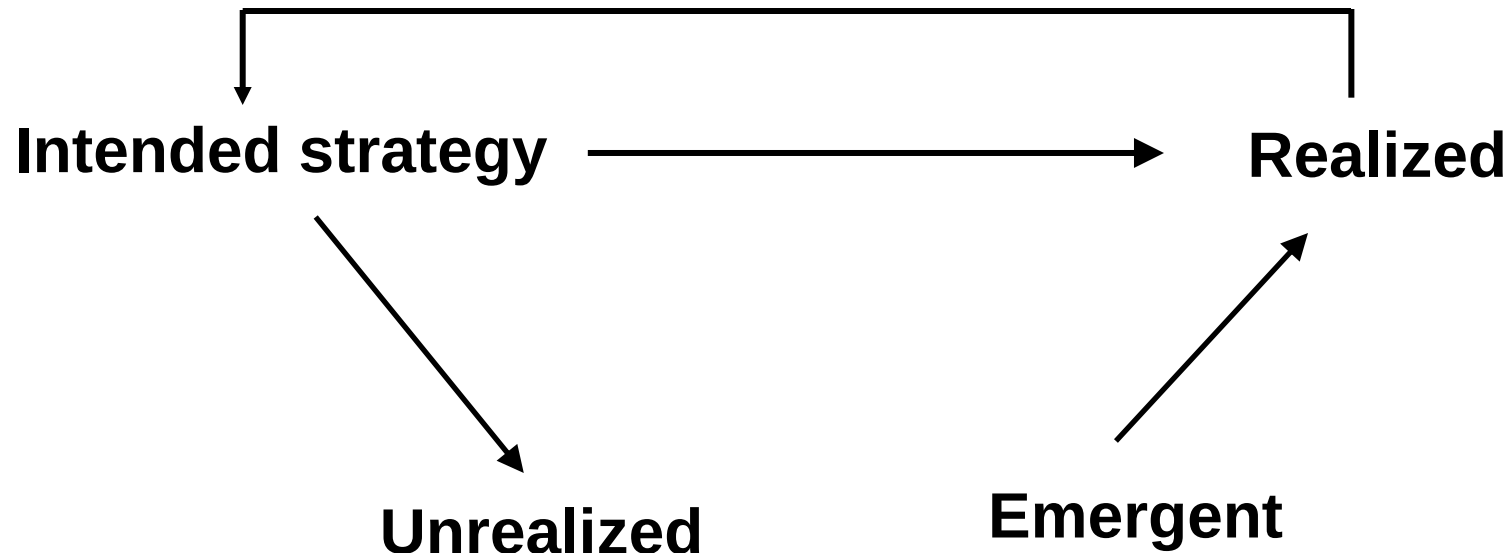


The elements of a strategy

Strategy = Distinctive array of interdependent choices that address:

- A desired outcome
- Where to compete (market positioning)
 - Product
 - Customers
 - Geography
- Value proposition
- Source of CA (strategic positioning)
 - High-level (cost vs. differentiation)
 - Detailed level (activities, resources, capabilities)

Strategy: Intended versus Emergent



“Let chaos reign, then rein in chaos-repeatedly.” (Andy Grove)

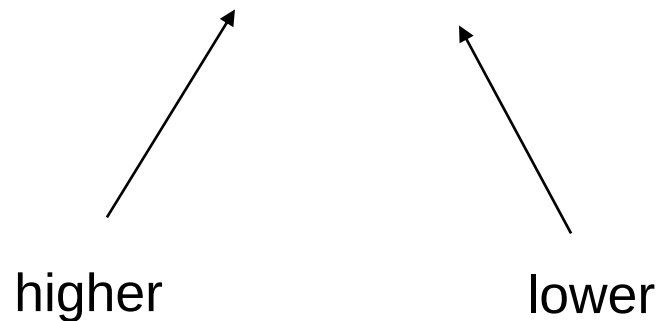
Internal Fit

- Focus on one particular tool: mapping an activity system (system of interdependent choices)
- Two motivations
 - Creates clarity around the source and sustainability of competitive advantage
 - Helps with change initiatives

Difference between OE and SP

What does it mean to have a CA?

$$CA \propto (P - C)$$

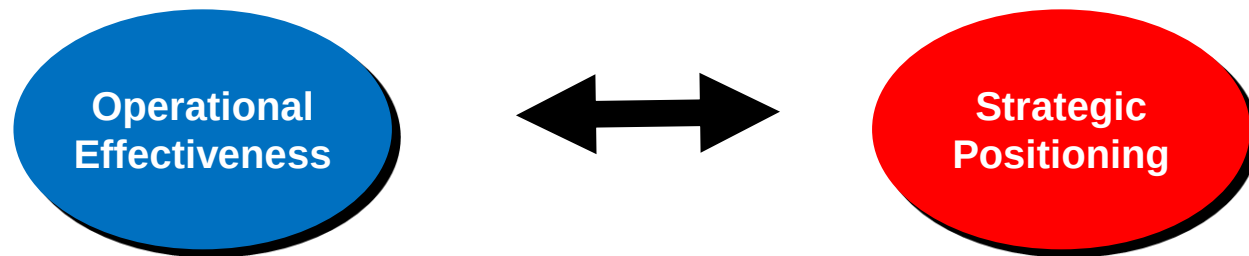


Can you achieve this by imitating what other firms do?

No, but....

- What about
 - TQM
 - JIT
 - Six sigma
 - Benchmarking
 - Best practices ??????

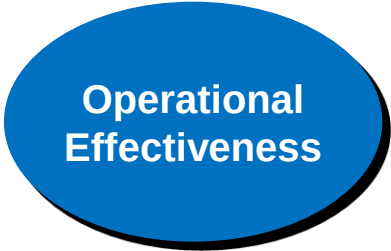
Operational Effectiveness $\neq$ Strategy



- Achieving and extending best practice
- Creating a **unique** and sustainable competitive position

Source: “What Is Strategy?” Porter, *Harvard Business Review*, 1996

Determinants of company performance



Operational
Effectiveness

- Improving operational effectiveness is necessary to achieving superior profitability, but it is **not sufficient**
 - Absolute but not relative improvement
 - Competitive convergence due to imitation

Source: “What Is Strategy?” Porter, *Harvard Business Review*, 1996

Many things vs single advantage

OK, we need to do something different...

- In order to make our competitive advantage sustainable, i.e., to make it more difficult for others to imitate us, should we do
 - one thing differently?
 - many things differently?

“Many things” sounds intuitive, but....

What about

- Core competence
- Key success factors
- Critical resources ????

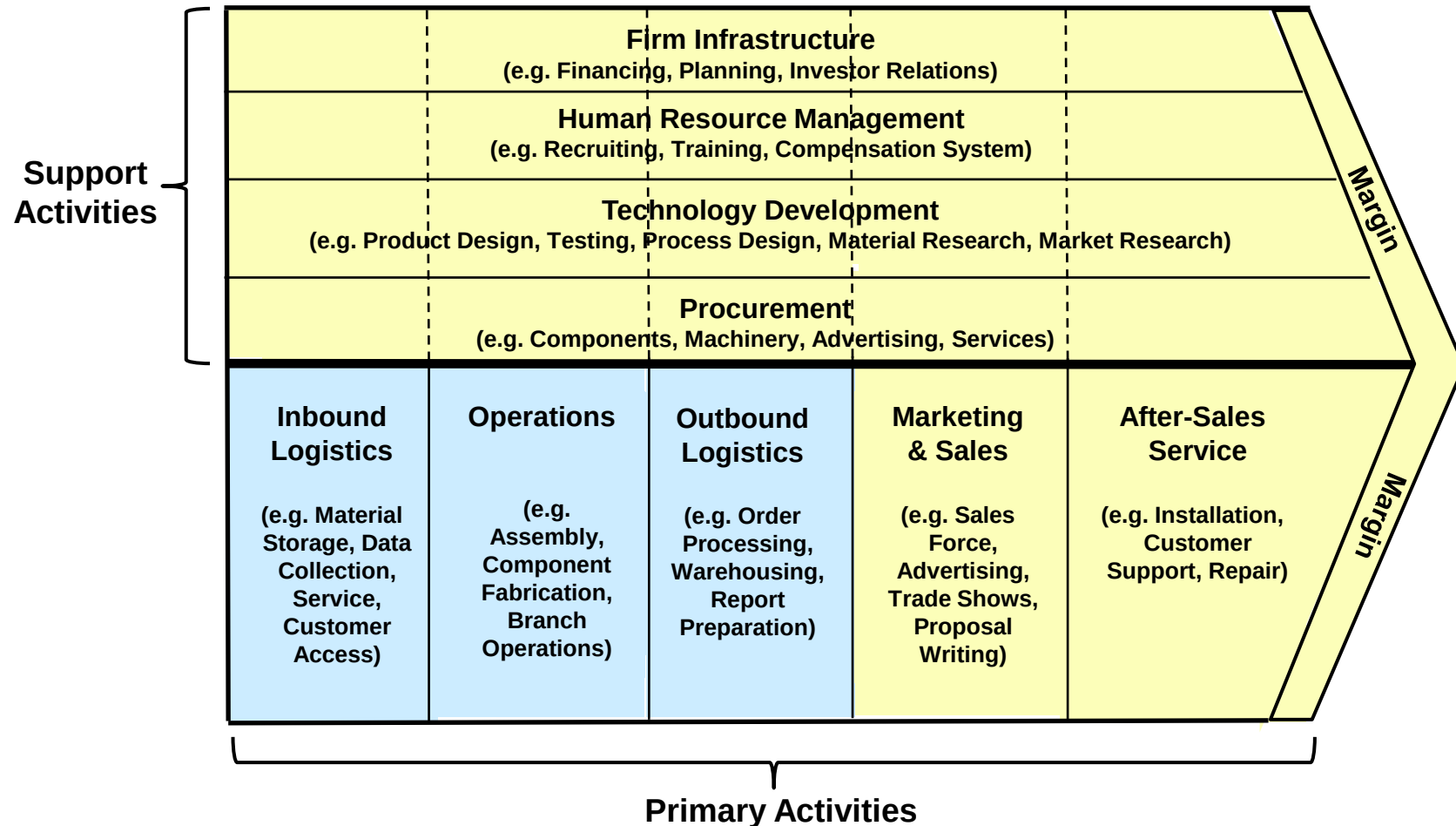
In general

- “Silver bullet” strategies tend to be very fragile
 - Everyone knows your source of competitive advantage, thereby focusing imitation attempts
 - Environmental shifts may make your key success factor not as important anymore

“One” might be enough if...

- Legally protected (patent)
- It has major beneficial (for you) impact on industry structure
 - Huge investment
 - Entry deterring
 - Commitment (specialized, durable, non-tradable)

Competitive Advantage and Activities

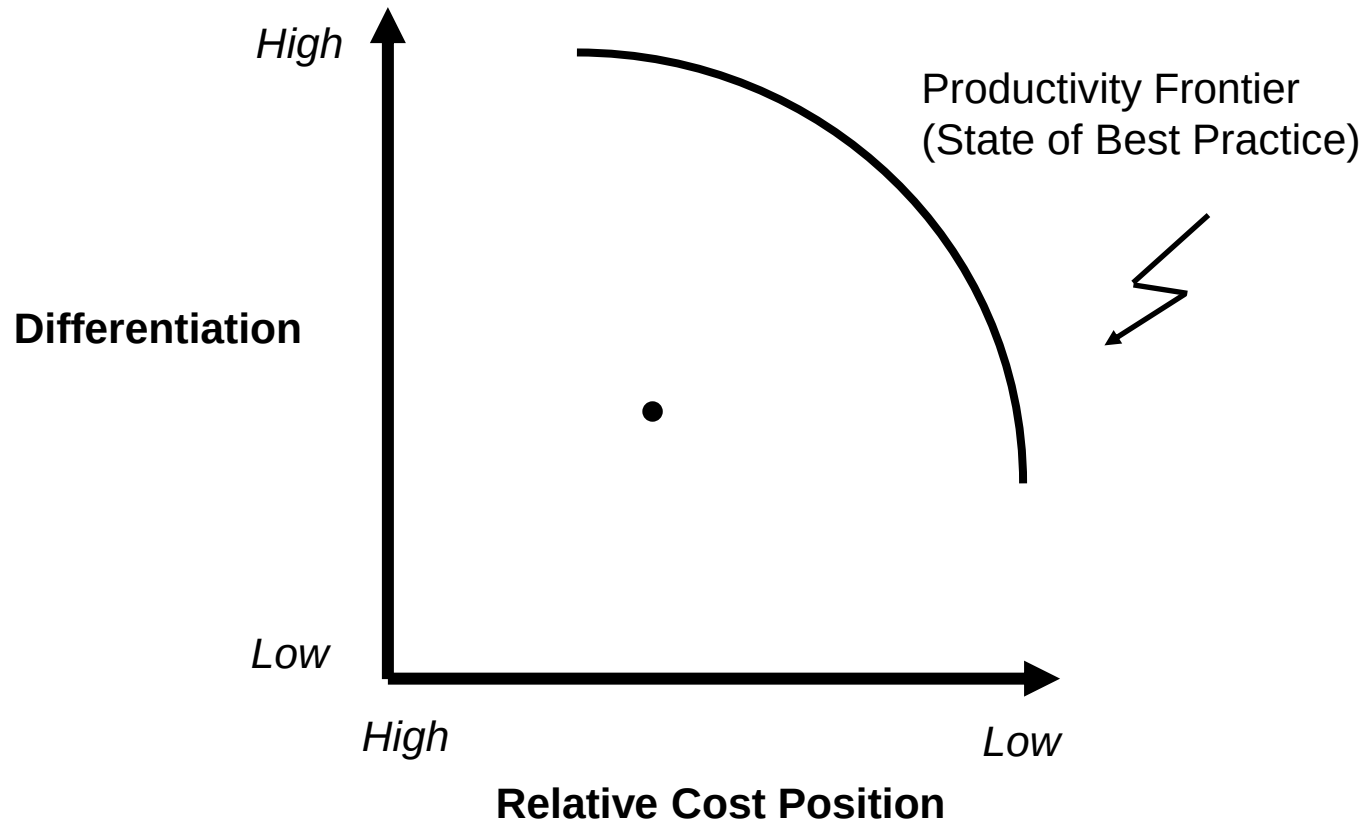


Companies are collections of discrete **activities**, in which **competitive advantage** resides

Source: Porter, *Competitive Advantage: Creating and Sustaining Superior Performance*, Collier Macmillan, 1985

Production Possibilities Frontier

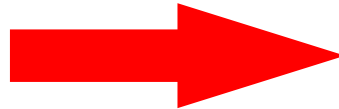
Operational Effectiveness vs. Strategic Positioning



Source: "What Is Strategy?" Porter, *Harvard Business Review*, 1996

What is Strategy?

Strategy is a race
to one ideal
position



Strategy is the
creation of a **unique**
and valuable
position, involving a
different set of
activities

Non-linearity and Example: Southwest Airlines

Non-linearity

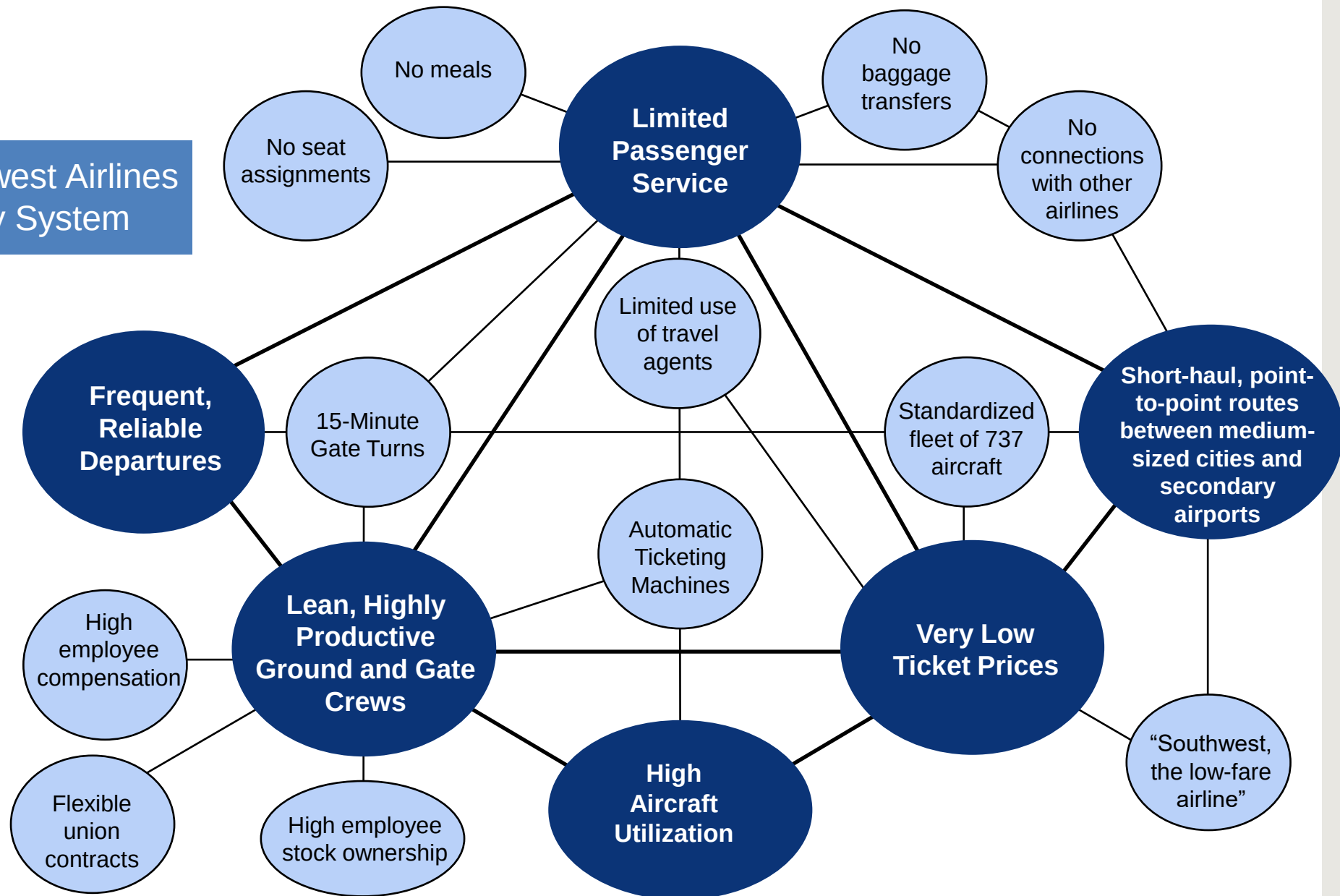
- If competitors copy 70% of your activities
 - and they get 70% of the benefits => bad news
 - and they get <70% of the benefits => better news
 - and they get -10% to 10% of the benefits => good news
- Interactions among activities create such non-linearities

What is the source of Southwest Airlines' Competitive Advantage?

Core Competency Perspective

- Ability to turn planes around quickly
 - Incentive systems
 - Flexible union contracts

Southwest Airlines Activity System



Source: "What Is Strategy?" Porter, *Harvard Business Review*, 1996

Continental Airlines: “Continental Lite”

Straddling

Activities Matching Southwest on a Subset of Routes	Activities Changed Across the Board	Activities Left Unchanged
• Point-to-point route network within Continental’s hub-and-spoke system	• Reduced commissions to travel agents	• Maintained position as full-service airline
• First class service eliminated	• Ended upgrades and promotions on frequent-flier program	• Continued use of existing hub-and-spoke system
• Meals on Lite flights eliminated	• Overhaul of fare structure for short flights	• Maintain fleet of several types of aircraft
• Fares lowered	• Focus 75% of advertising budget on Lite service	• Interline baggage checking and seat assignments
• Quickened turnaround time at gate		

Continental Lite: Outcome

- Severe operating problems including delays and cancellations
- Alienated passengers, frequent fliers, corporate clients and travel agents
 - 1,000 complaints a day, customer defections to other airlines
- Customer confusion about Continental service
- Overcapacity: mimicking Southwest led to frequent departures to cities that did not need the service



- Matched Southwest's prices without matching its low costs
- Lost hundreds of millions of dollars
- CEO was fired

Tradeoffs and IKEA example

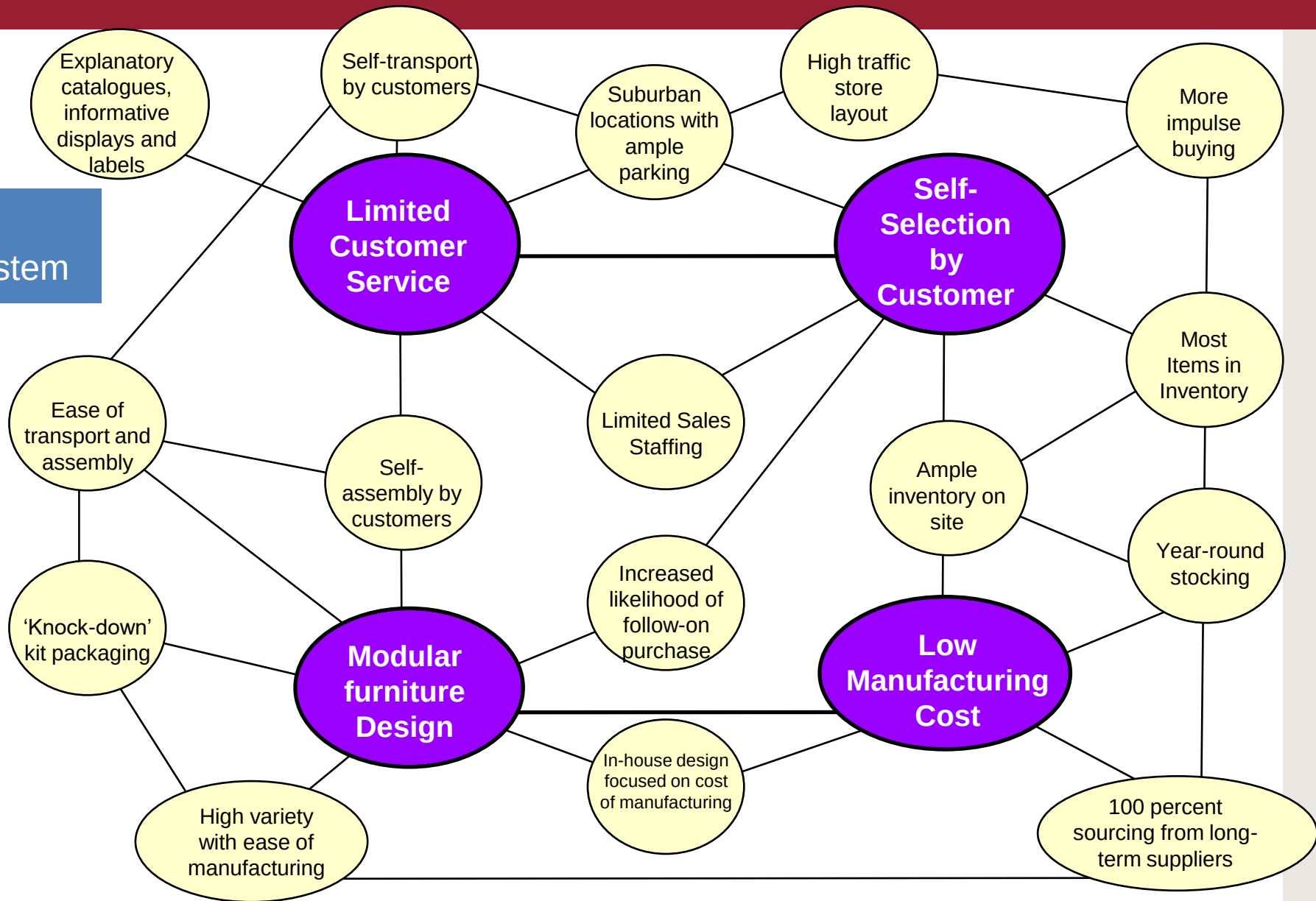
Fighting imitation

- Interactions drive both complexity and tradeoffs
- The role of complexity
 - Increases the difficulty of wholesale imitation
 - Decreases the value of partial imitation
- The role of tradeoffs
 - Decreases the desirability of imitation
 - Deters straddling, because straddling is costly
 - Inconsistencies in reputation
 - Different set of optimal activities
 - Limits on internal coordination and control
- The choice of what **not** to do is a central part of strategy
 - This is not easy to do; “Failure to choose”
 - Most common problem: Growth trap

Positioning Tradeoffs: IKEA

IKEA	Typical Furniture Retailer
Limited variety, no custom options	Extensive variety, customization of fabrics, colors, finishes
Centralized, in-house design of all products	Purchase from the lines of outside suppliers
Furniture design and manufacture heavily influenced by cost	Design and manufacturing heavily influenced by image /style/materials
Huge warehouse stores to display entire line	Stores display partial line
Self-selection. Information in the form of catalogs, do-it-yourself videos, explanatory ticketing	Extensive sales assistance
Large on-site inventories	Low inventories/order with lead time
Childcare provided in the store	No arrangements for children
Long hours of operation	Traditional retail hours
Suburban locations with large parking lots	Urban/suburban locations
Assembly by customers	Fully assembled furniture
Self delivery by customers	Provide delivery

IKEA Activity System



Source: "What Is Strategy?" Porter, *Harvard Business Review*, 1996

Summary: NUMMI Example and Intel's Copy Exactly Method

Summary: NUMMI Example and Intel's Copy Exactly Method

NUMMI example

Intel copy exactly

Strategic continuity

- **Strategic continuity** over sustained periods contributes strongly to sustainable competitive advantage
 - Reinforces identity with customers and channels
 - Builds truly unique capabilities and skills
 - Sharpens understanding of tradeoffs
 - Extends and strengthens the fit among activities
 - Saves costs and confusion associated with frequent shifts in positioning
- 
- Strategic continuity must be combined with continuous improvement in operational effectiveness
 - There is a tension between achieving sustainable advantage and maintaining the flexibility to respond to any conceivable environmental change

In sum

- Positions built on activity systems are far more sustainable than those built on individual activities
 - Harder for a rival to match the whole system than to imitate one feature, product or service
 - Difficult to discern relevant parts from outside the company (but sometimes also within)



- Incompatible activity systems, because of tradeoffs, are what underlie the most viable strategic positions
- Interaction among activities is fundamental both to competitive advantage and sustainability

Use of Activity Systems for Organizational Change

Use of Activity Systems

- Consistency check of present implementation of positioning
- Uniqueness check (What are the roots of our competitive advantage?)

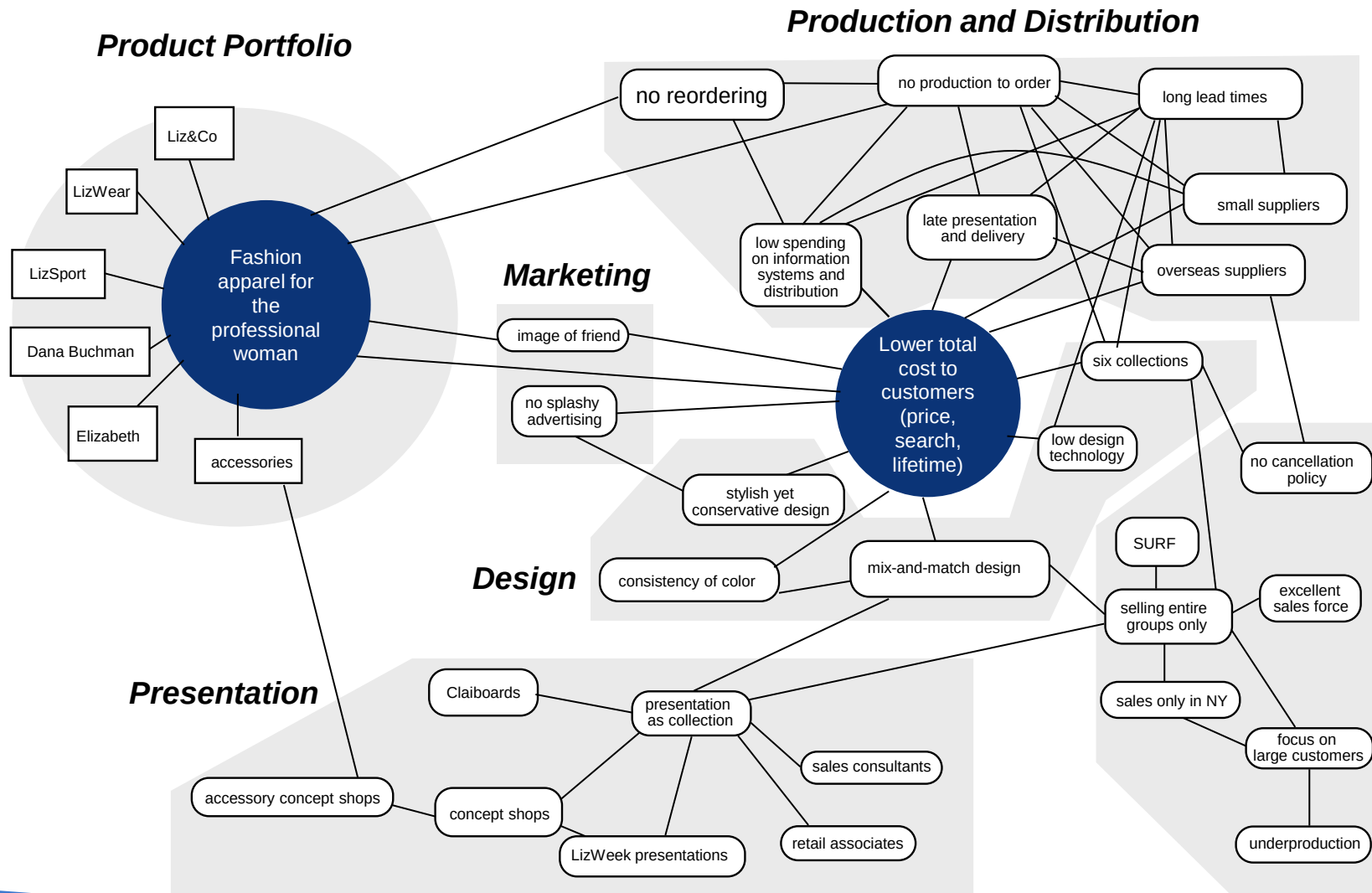
Another example: Case facts

- Setting: U.S., early 1990s
 - Firm: very successful women's fashion apparel manufacturer
-
- Low cost due to pioneering production in Far East
 - Many small suppliers; little technology (on both sides)
 - Mix-and-match design
 - Design and presentation of clothes as “collections”
 - Support/training for floor presentation
 - Long lead times between design and delivery
 - Late presentations
 - No-cancellation policy; no-reordering
 - Six design cycles (six seasons)
 - Focus on large department stores
 - No sales force; sell only in NY

Need to adapt

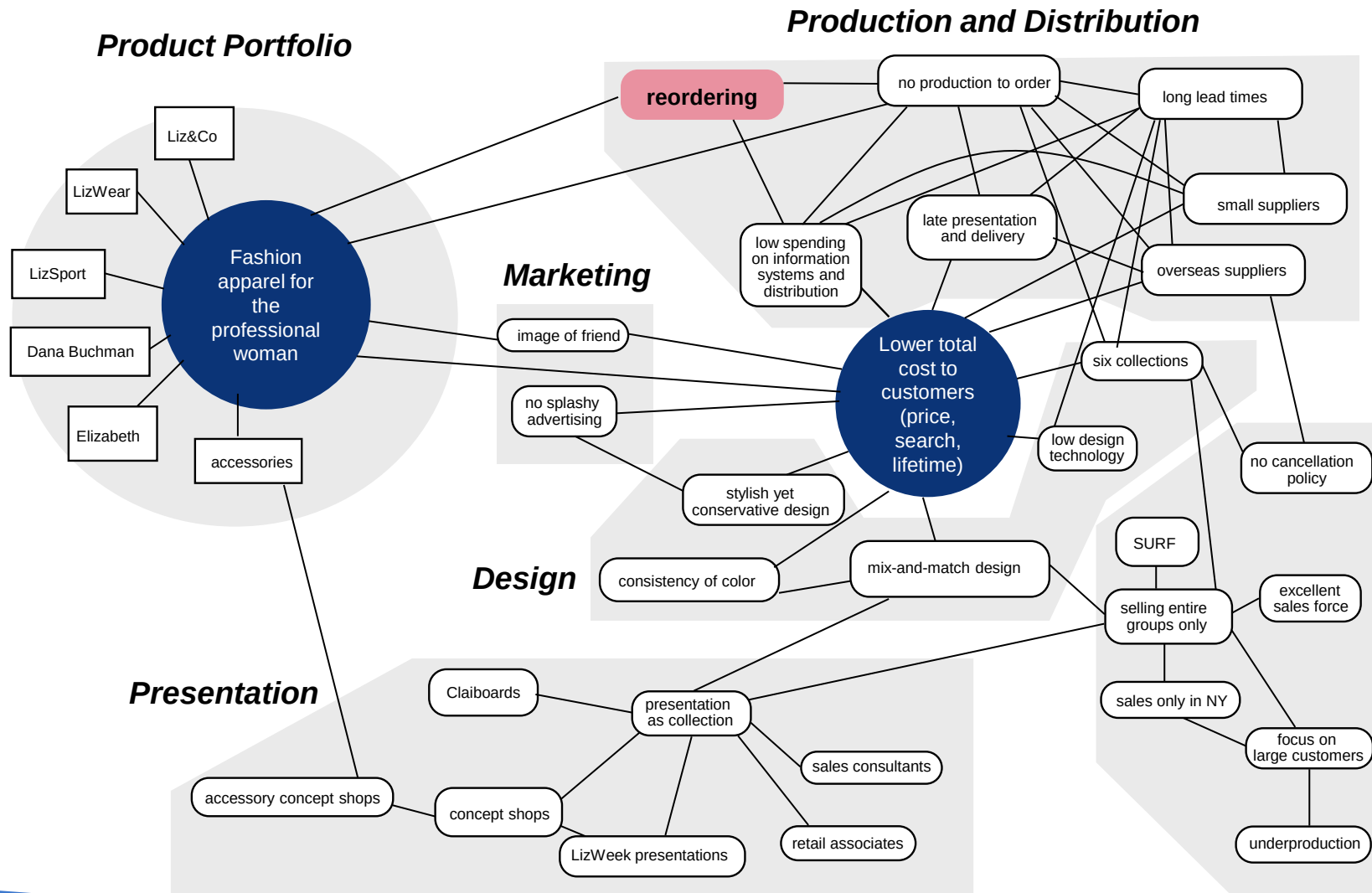
- Up to now, the firm was able to shift inventory onto customers
- Now, customers demand re-ordering
 - shift of product range
 - customer cash constraints
 - competitors
- What to do?

Liz Claiborne's Activity System (1980s)



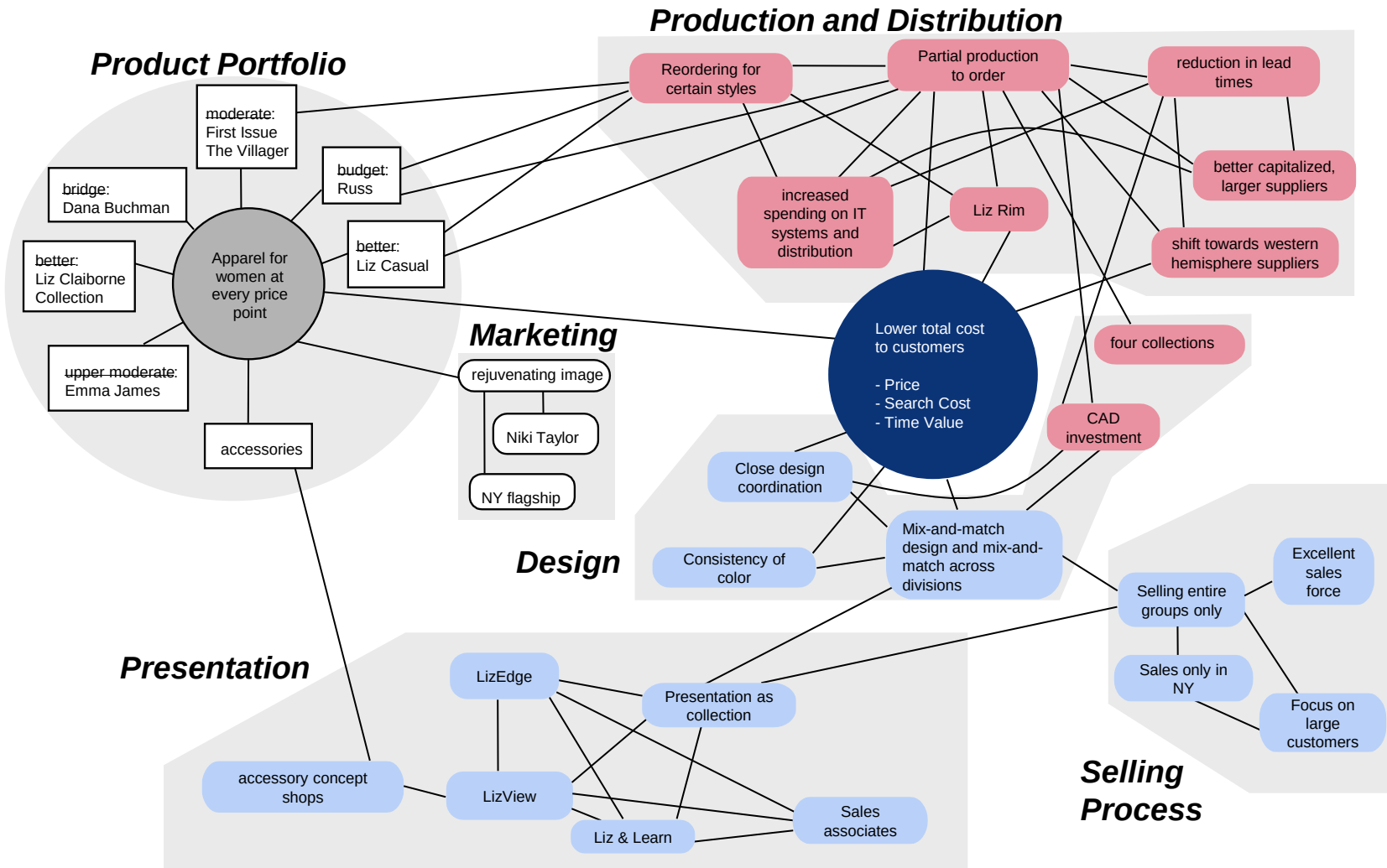
Selling Process

Liz Claiborne's Activity System (1980s)



Selling Process

Choices in 1997



Use of Activity Systems

- Consistency check of present implementation of positioning
- Uniqueness check (What are the roots of our added value?)
- Consistency check for future expansions
- Guide for changes to system (What can stay constant? What has to change?)

Interactions

Complementarities

Definition 1: Two choices/activities A and B are complementary if doing more of activity A increases the marginal benefit of B, and vice versa.

For the engineers watching: If $\Pi(x_1, x_2, \dots)$ is our profit function, then the cross partial derivative $\delta^2\Pi/\delta x_1\delta x_2$ is positive

For those of us who don't have an intuitive feeling for cross-partial derivatives, we need a different thought experiment...

Test for complementarities

Pick one variable set it at a low value, ask what is the marginal benefit of increasing the other variable...

Example: product variety and flexibility of machinery

Example: product variety and investment in inventory management system

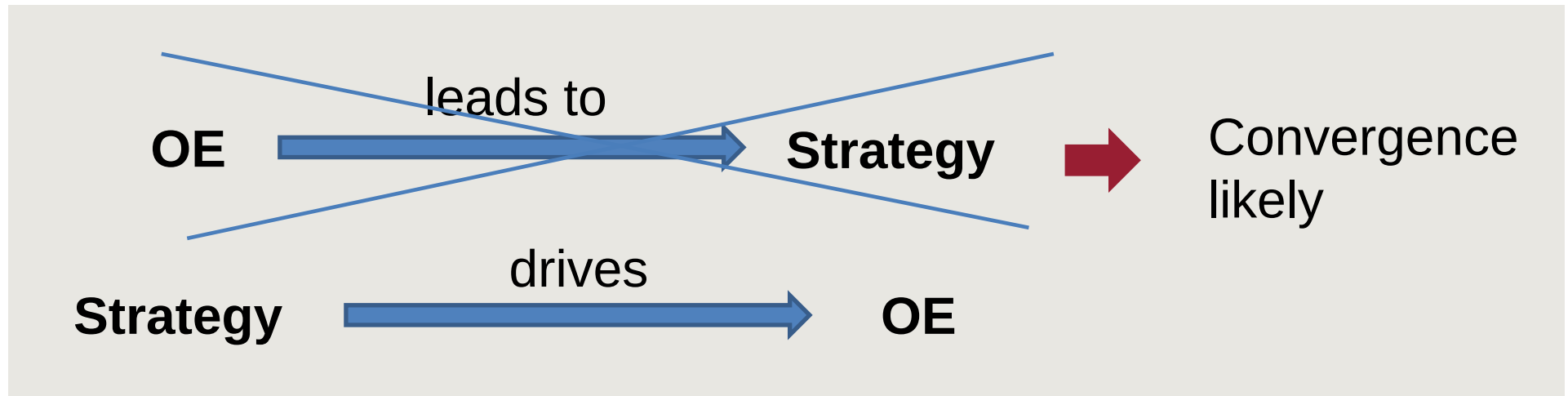
Summary: Central Questions of Strategy

Central Questions

- What are the explicit tradeoffs underlying our strategy?
- Which of our activities are best practices (operational effectiveness); which of our activities strengthen our strategic positioning? => Where is the source of our sustainable CA?

Strategy, Operational Effectiveness, Best Practices

- Thought Experiment: If my competitor were to imitate activity/choice A would they get the same benefit from it as I do?
 - Yes = industry best practice => probably not a source for sustainable CA
 - No, I get more benefit from it because the way it is embedded in my system of choices = firm/strategy-specific (good/best) practice
- Each strategic positioning has its own set of activities that yield maximal operational effectiveness, so strategy and OE go hand in hand, but...



- How do we strengthen, protect, extend these activities?
- What are the implications for our existing AS when we add new activities (when we expand)?

Value Chain Assignment

Describe the value chain of your organization.

- 1. Change the labels on the various activity “buckets” if necessary.**
- 2. For each stage of the value chain, list the key activities that your firm is engaged in.**
- 3. Ask yourself which activities are particularly distinct, i.e., different from those of your competitors.**

Mapping your Company's Activity System Assignment

Please draw your firm's System of Interdependent Choices (refer back to the value chain that you have drawn in Assignment 1)

Identify which choices are best practices, vs which choices are truly enhancing your distinctiveness. (Fill out the following worksheet)

Mapping Activity Systems

- Identify overarching positioning choices
- Identify activities/choices (value chain analysis)
- Relate activities to positioning
- Examine pairwise reinforcement
- Look for choices that have many interconnections
 - other core choices than those already identified?
- Sketch an activity map

Example: Vanguard

- First stab at overarching positioning choices:
 - Focus on low cost
 - Focus on conservatively managed funds
 - Focus on long-term performance
 - Mutual structure

Example: Vanguard

Value Chain of Typical Mutual Fund Provider

Organizational Structure

Human Resource Practices

Asset
Management

Account
Management

Selling &
Marketing

Information
& Customer
Service

Product Portfolio

Vanguard's Selling and Marketing Choices

What they do/What they don't do

- Direct distribution, 1-800 (toll-free) number; internet
- No-load
- No retail branches
- Little advertising
- Decline assets if considered “hot” money

Operational Effectiveness vs. Strategic Positioning

Assume our competitor were to duplicate our activity/choice A. Would they get the same benefit from it as we do (= OE)? Would we get a higher benefit from it, given the way A is embedded in our activity system (= SP)?

Activity/Choice	OE or SP	Why?
Most refined pricing system	SP	Higher benefit due to more heterogeneous customers

Choices and Tradeoffs Assignment

What do we NOT do?

What do we do differently?

What are the tradeoffs arising from our choices?

How do we communicate these tradeoffs, these choices within our firm? How do we make sure people know what NOT to do?

MODULE 2

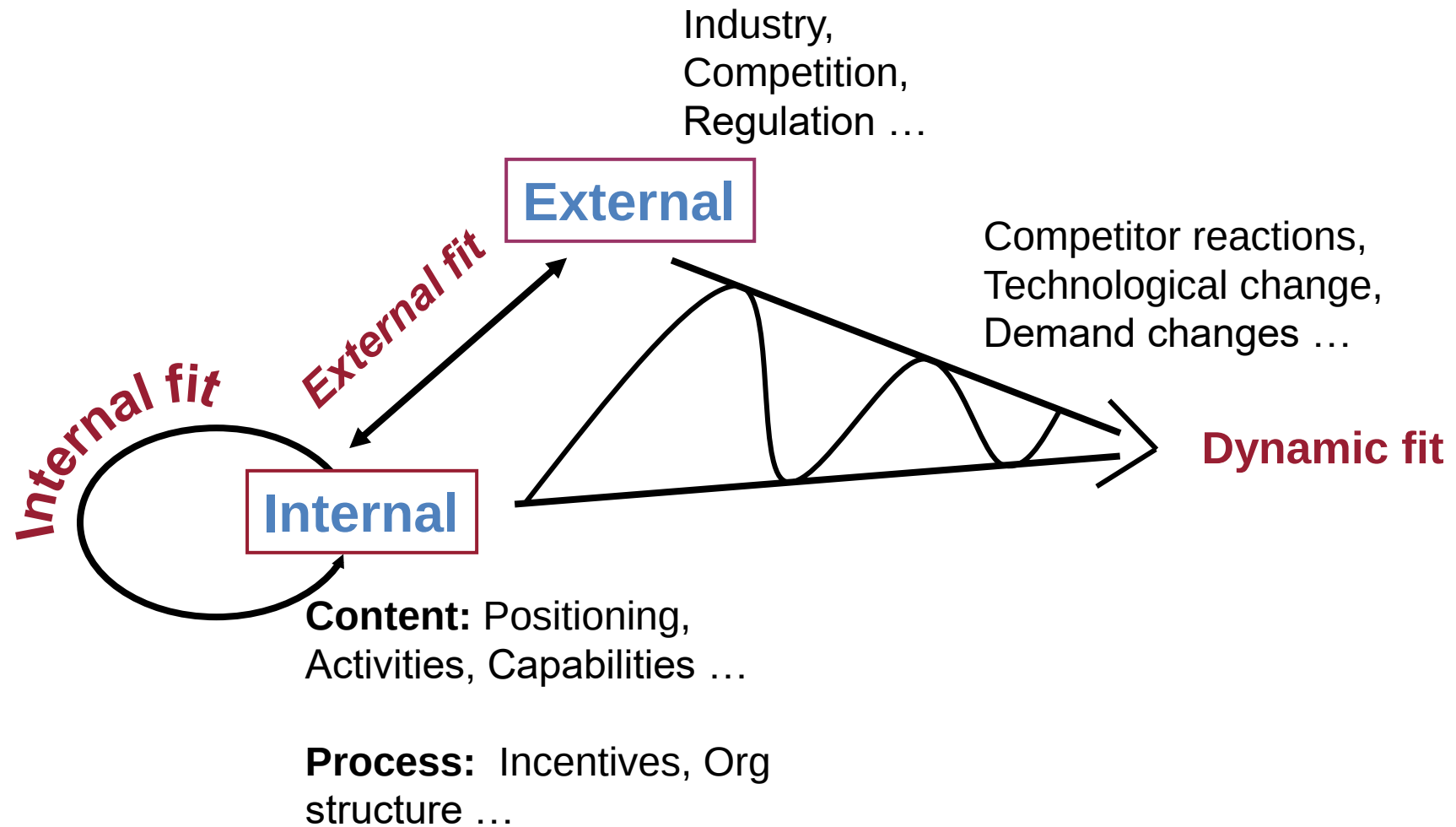
Analyze your firm's external fit



ONLINE

Introduction to Strategy Audit and Evaluating External Fit

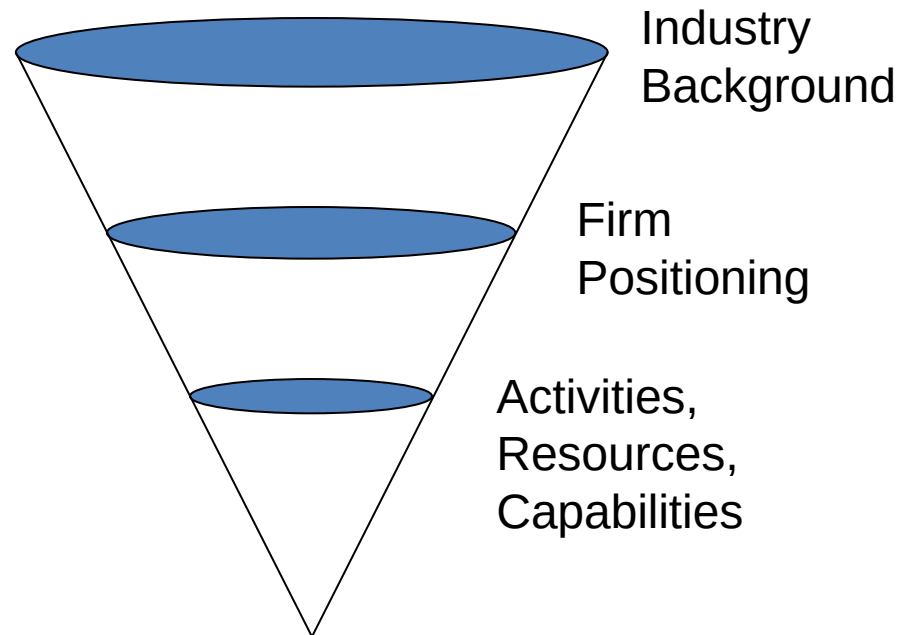
Three types of fit to evaluate a strategy



The elements of a strategy

- Strategy = Distinctive array of interdependent choices that address
 - A desired outcome
 - Where to compete (market positioning)
 - Product
 - Customers
 - Geography
 - Value proposition
 - Source of CA (strategic positioning)
 - High-level (cost vs. differentiation)
 - Detailed level (activities, resources, capabilities)

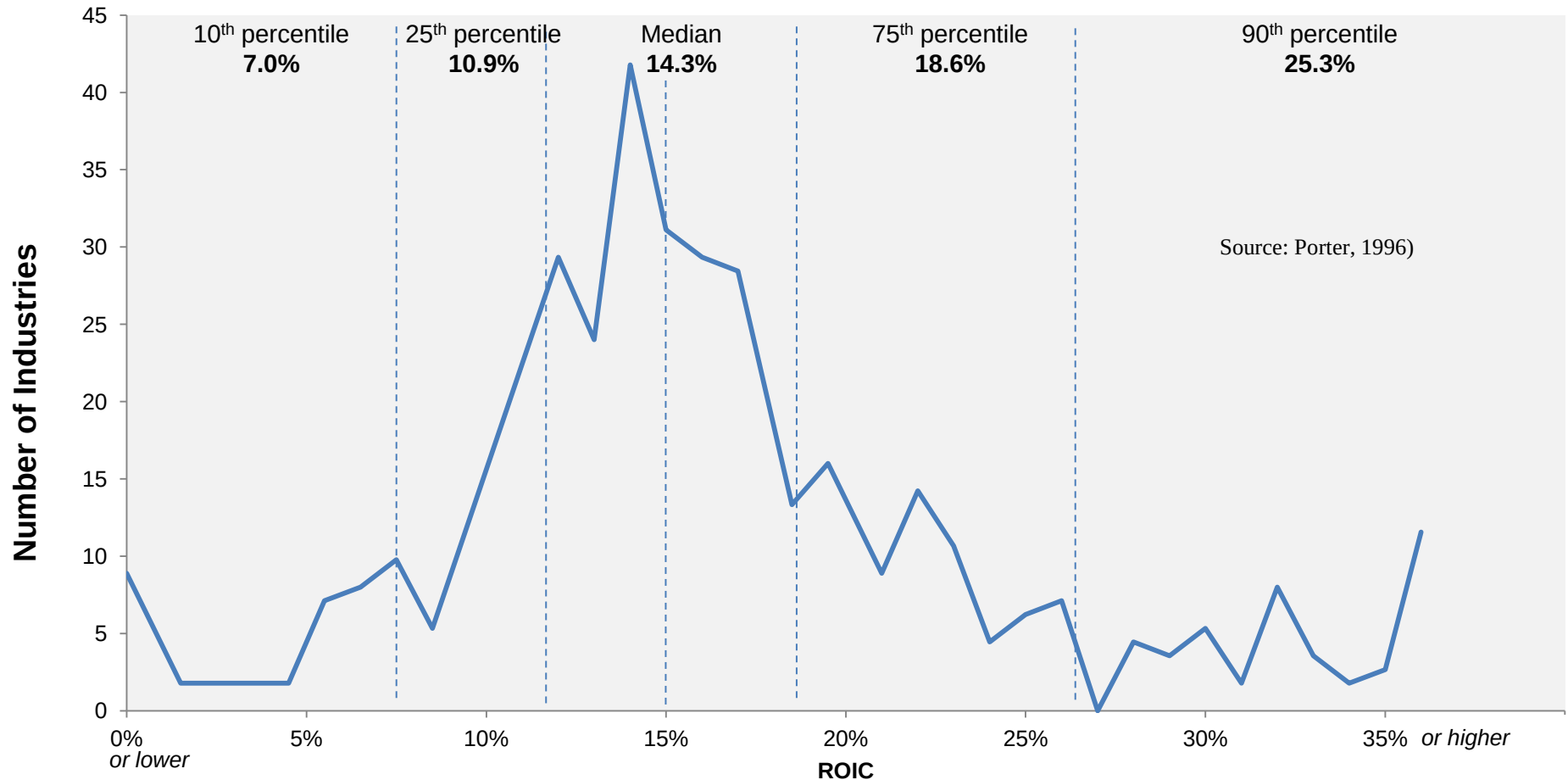
Strategy Audit



Drivers of profitability

- By how much is profitability of a firm driven by:
 - Industry effects?
 - Positioning effects?
 - Corporate effects?

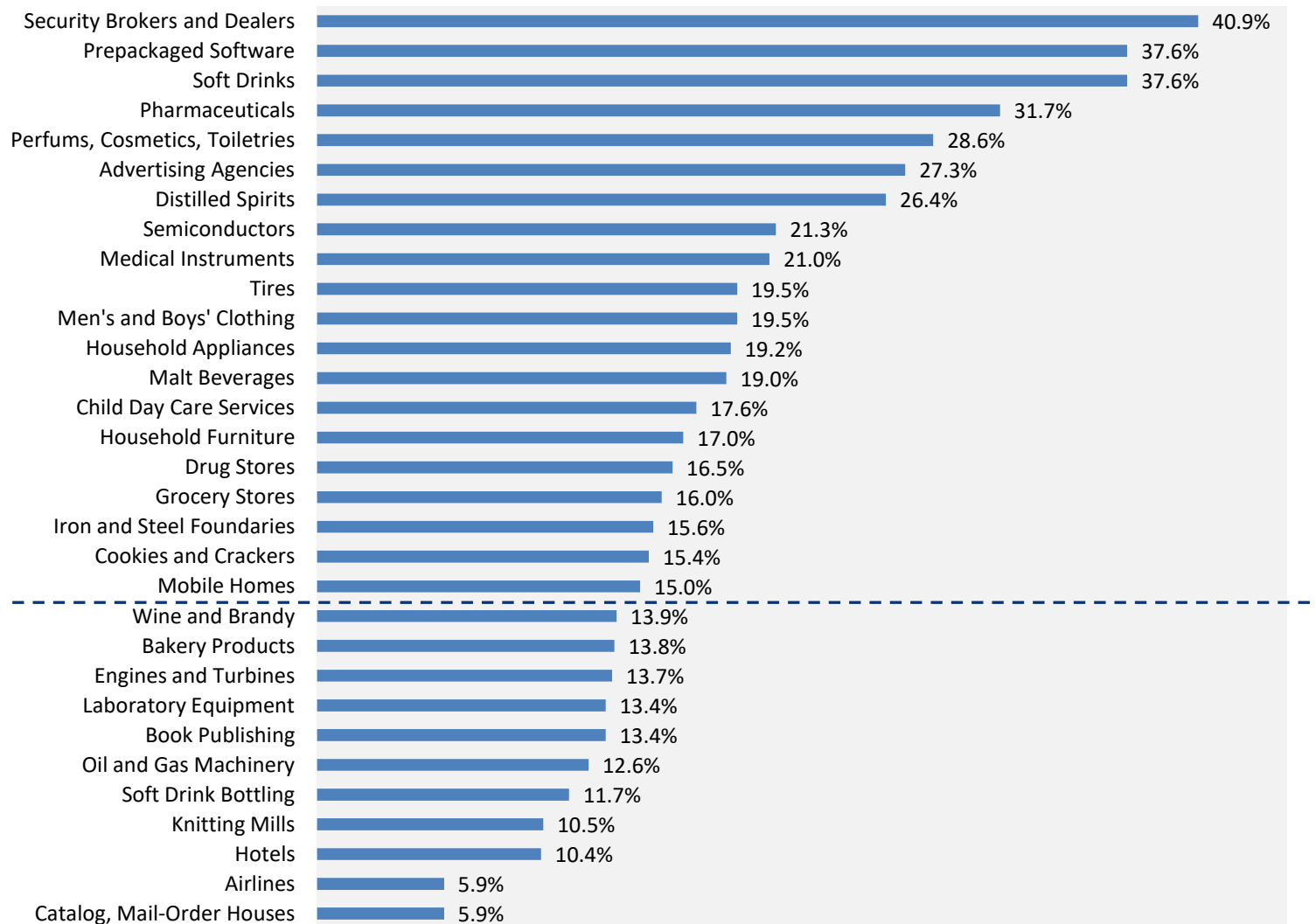
Average Return on Invested Capital in U.S. Industries, 1992–2006



$$\text{ROIC} = \text{EBIT} / (\text{Average invested capital} - \text{excess cash})$$

Source: “The Five Competitive Forces That Shape Strategy” Porter, *Harvard Business Review*, 2008

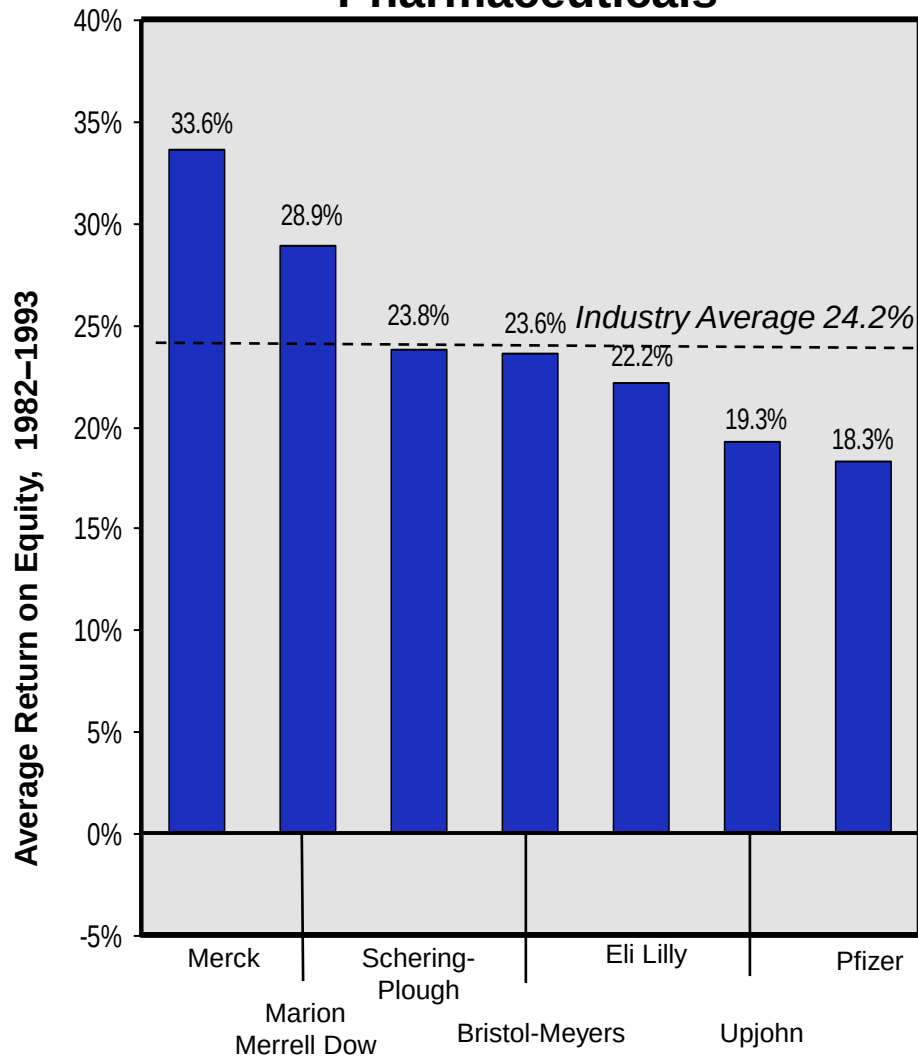
Average ROIC, 1992–2006



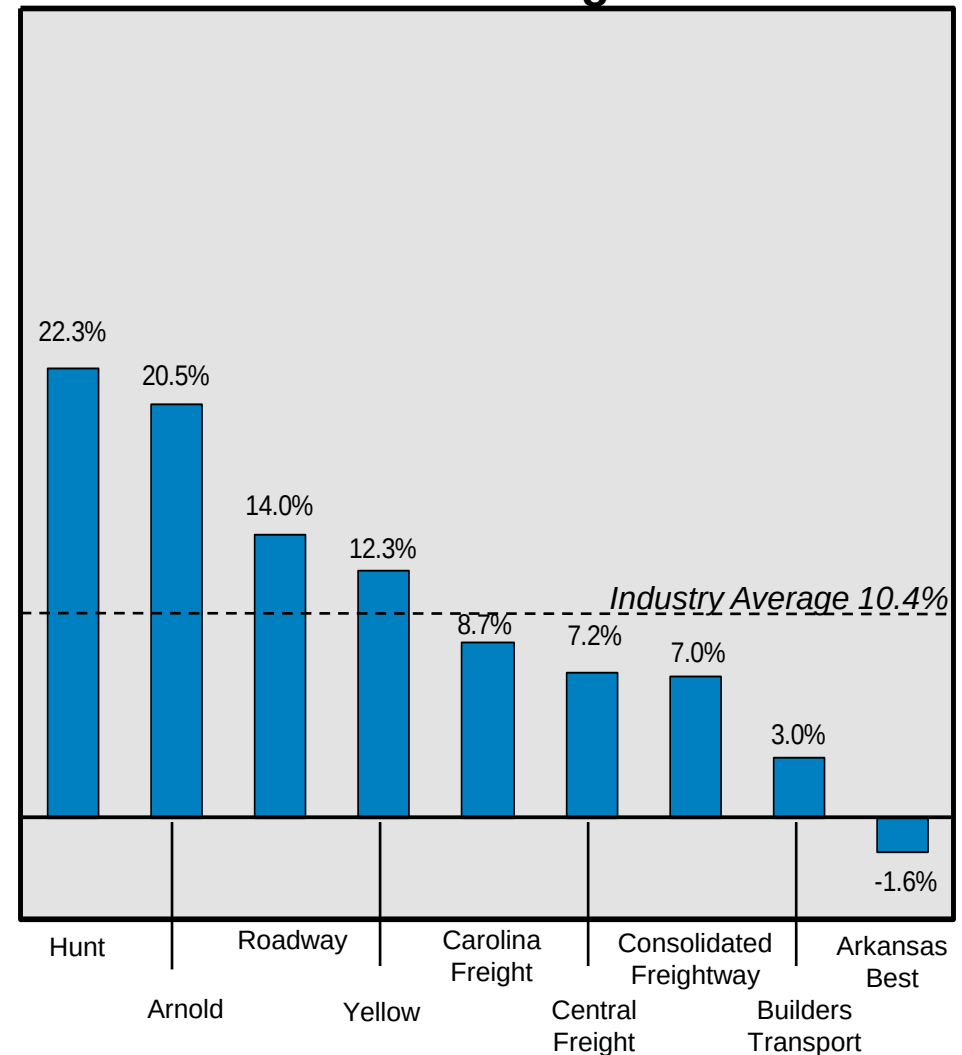
Source: “The Five Competitive Forces That Shape Strategy” Porter, *Harvard Business Review*, 2008

Positioning

Pharmaceuticals



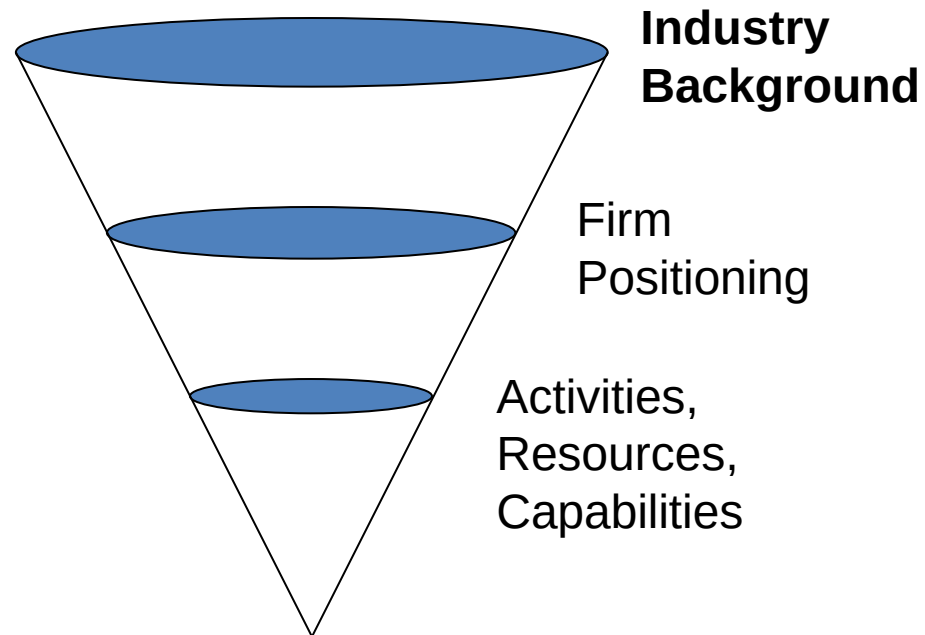
Trucking



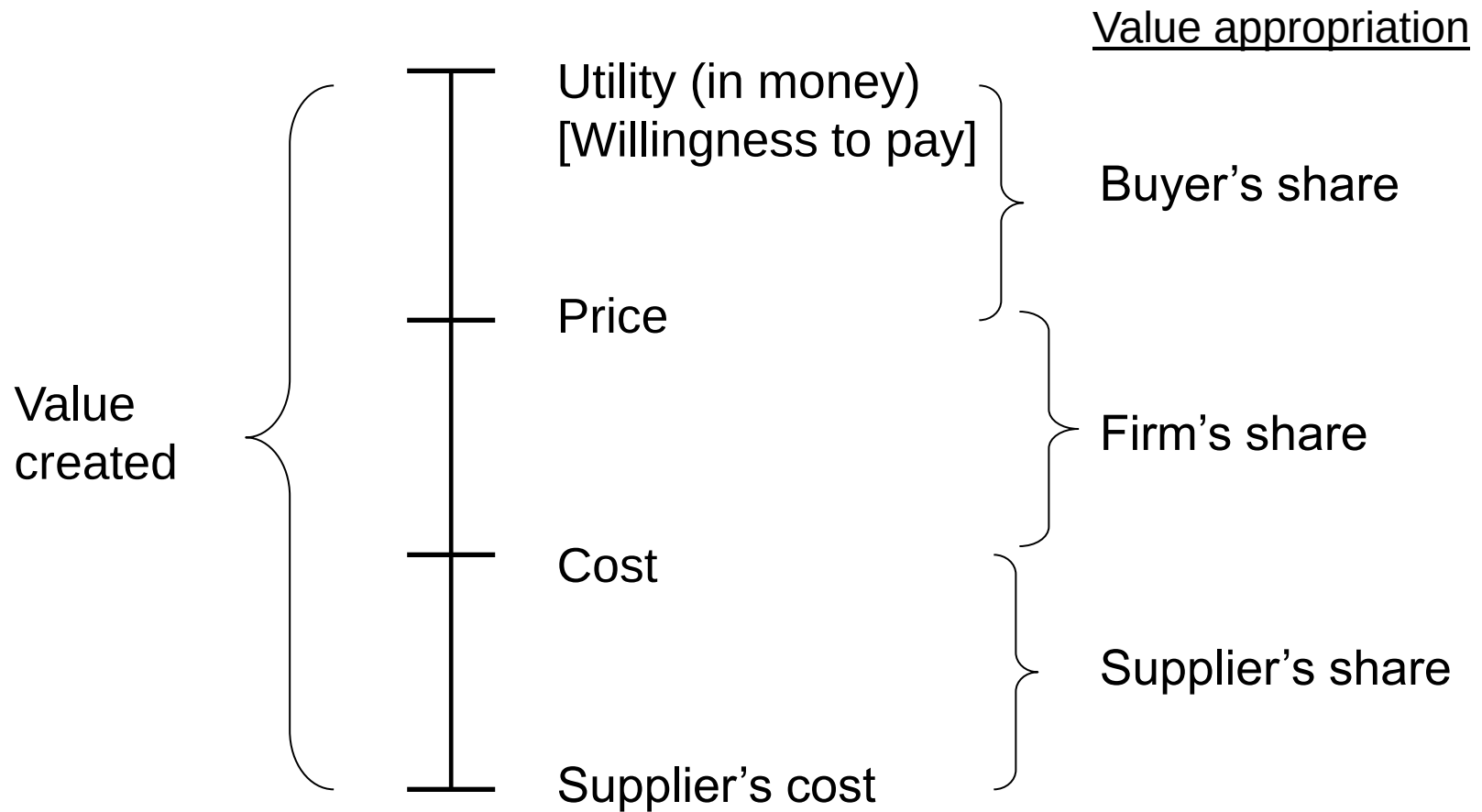
Note: Return on Equity = Net Income / Year End Shareholders' Equity

Value creation

Strategy Audit



Value creation and appropriation



Industry analysis

Value appropriation—Industry Analysis: 5 Forces

- Who wants to appropriate value?
 - Buyers => lower price
 - Suppliers => increase cost

} Supply chain
- Who else limits the amount you can appropriate?
 - Current competitors => lower price
 - New competitors => lower price
 - Substitution => lower price
 - Complementors => lower WTP, or higher cost
- What other factors determine profitability in your industry?
 - Regulation?

Drivers of appropriation threats

- Customer Power
 - Price sensitivity (volume; importance to their cost)
 - Switching costs/customer lock-in (technical; brand)
 - Ability to backward integrate
 - For instance, shipping managers buying trucking services.
- Supplier Power
 - How important are our sales to them?
 - Switching costs for you
 - Ability to forward integrate

For instance, Intel

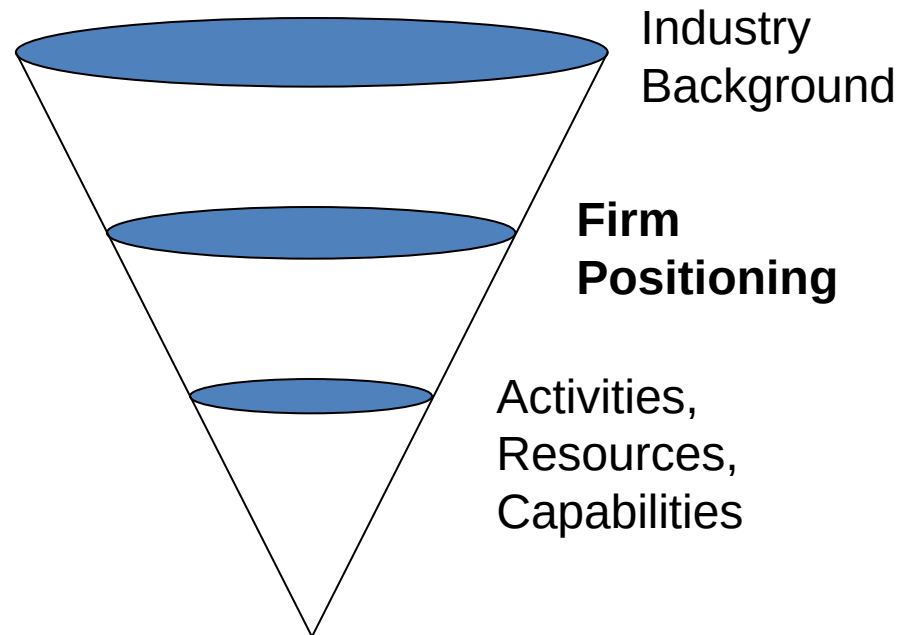
Drivers of appropriation threats (2)

- Barriers to Entry (new entry & substitutes)
 - Scale-based benefits; Experience, learning effects
 - Capital requirements
 - Value of reputation, brand
 - Access to distribution
 - For instance, pharma detailing to doctors vs. TL trucking.
- Rivalry (existing competitors)
 - Number of effective competitors
 - Market growth
 - Degree of differentiation
 - Strategic stakes
 - Patents

For instance, full-service US domestic airlines

Value proposition

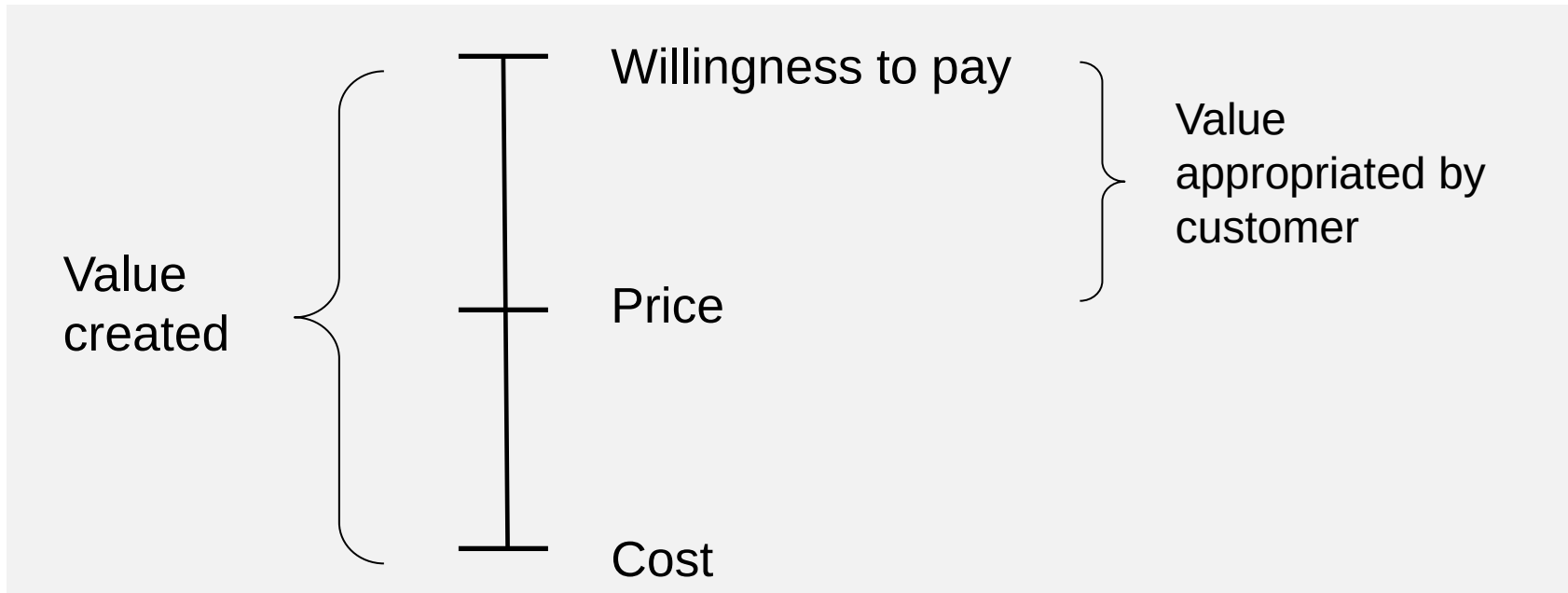
Strategy Audit



The elements of a strategy

- Strategy = distinctive array of choices that address
 - A desired outcome
 - Where to compete (market positioning)
 - Product
 - Customers
 - Geography
 - **Value proposition**
 - Source of CA (strategic positioning)
 - High-level (cost vs. differentiation)
 - Detailed level (activities, resources, capabilities)

Value Proposition



- Customers care about (WTP – Price), not just one or the other
 - One can create value by increasing the customer's willingness to pay or by decreasing cost (iPod vs. Southwest)
- ⇒ What factors drive willingness to pay?
- ⇒ What factors drive cost?

How to assess WTP

- Engineering estimate:
 - $\text{WTP} = \text{Current price} + (\text{non-price}) \text{ cost savings} - \text{switching costs}$
- Focus groups:
 - Assess indifference point between \$ and the product
- Quantitative analysis:
 - Survey of potential customers: give various options of features and prices and customers make (hypothetical) choices; from this one can estimate elasticities
 - E.g., refrigerator: \$1 annual savings from energy consumption = \$2.45 higher WTP
- Auctions

Competitive advantage

What is the size of your competitive advantage?

$$CA = (WTP - Cost)_{\text{you}} - (WTP - Cost)_{\text{strongest competitor}}$$

Or

$$CA = (WTP - WTP_{\text{competitor}}) + (Cost_{\text{competitor}} - Cost_{\text{you}})$$

- Why is Porsche still around?
- The role of nationality in buying cars
- Cup holders

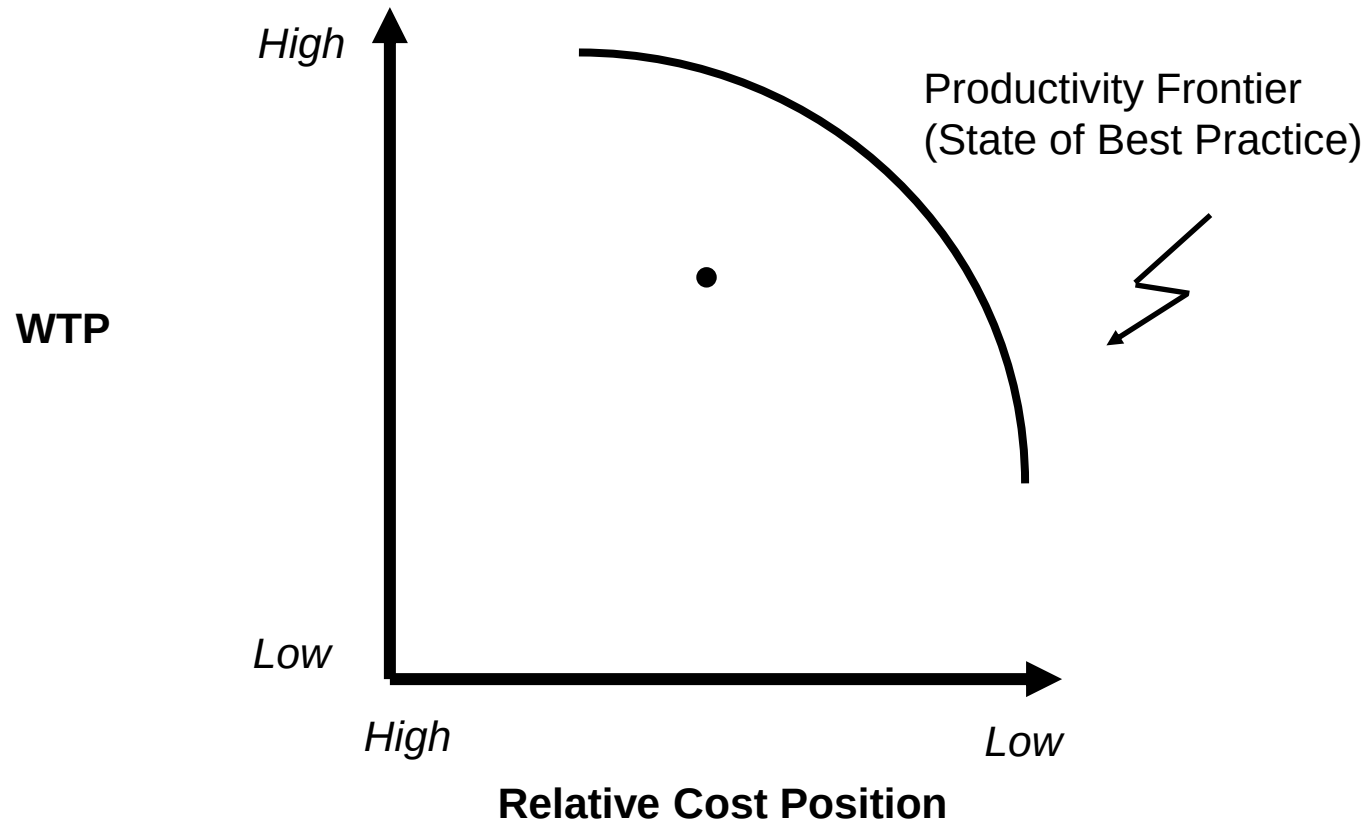
Implications

$$CA = (WTP - Cost)_{\text{you}} - (WTP - Cost)_{\text{strongest competitor}}$$

- To appropriate value, you need to create more value than your competitors
- You need to create some asymmetry in WTP and/or in Cost
- Being different, i.e., doing different things, is what is at the heart of strategy.

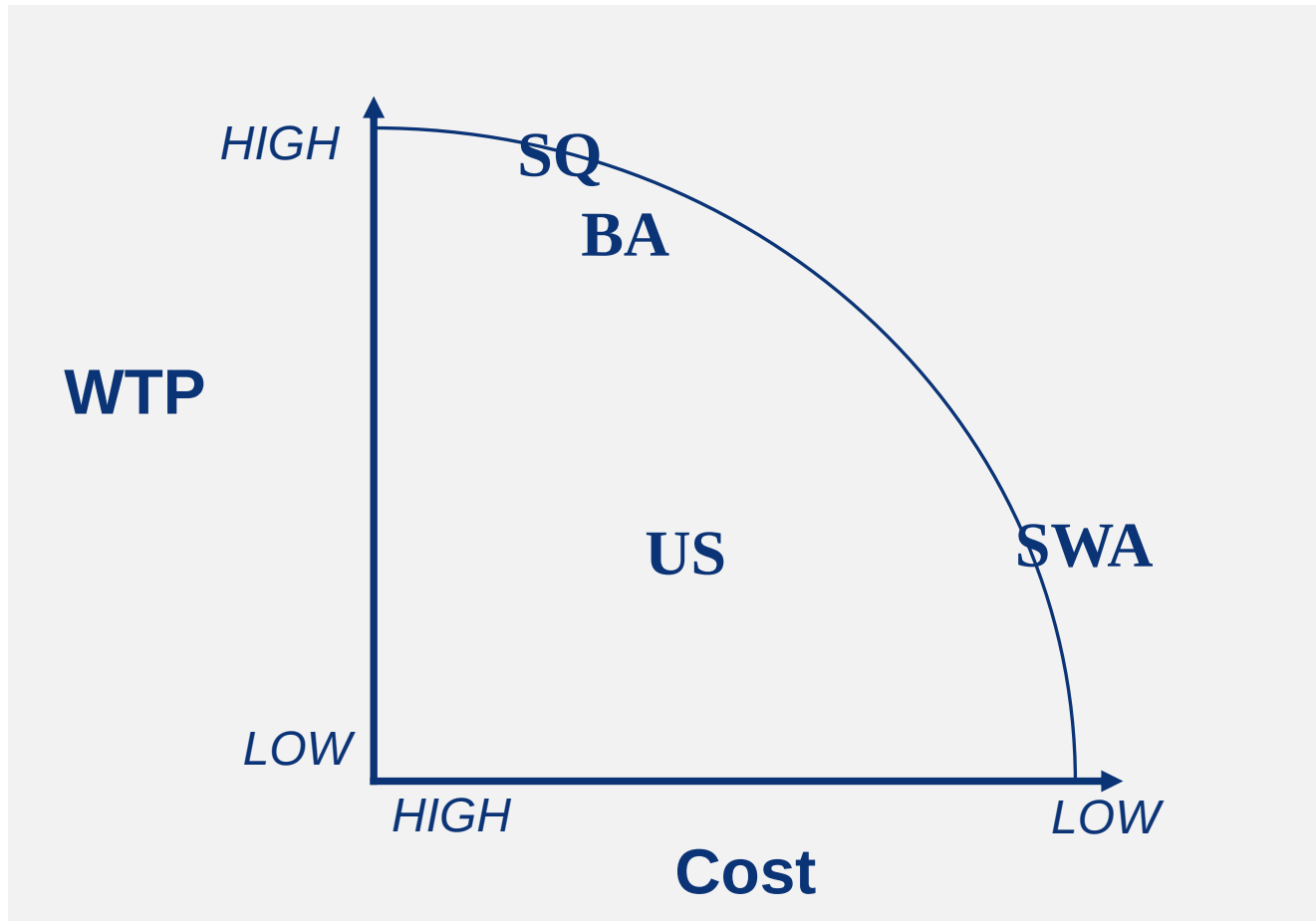
Positioning

Strategic Positioning



Source: “What Is Strategy?” Porter, *Harvard Business Review*, 1996

Strategic Positioning in the Airline Industry



Differentiation and Cost Drivers

WTP drivers

- Brand

- Technological performance

- After-sale services, etc.

WTP(a, b, c, ..)

$WTP = \alpha * a + \beta * b + \gamma * c + \dots$

Different segments differ in their weights

Cost drivers

- Production costs

- Logistical costs

- Transportation costs

- Service costs

WTP drivers for airlines

	Worst in industry		Average		Best in industry
	1	2	3	4	5
Drivers of WTP:					
Number of flights/Coverage					
Point-to-point					
On-time arrival/departure					
Bags arrive					
Meals					
Lounges					
Quality of frequent flier program					
Friendly service; quality of seats					

Market positioning

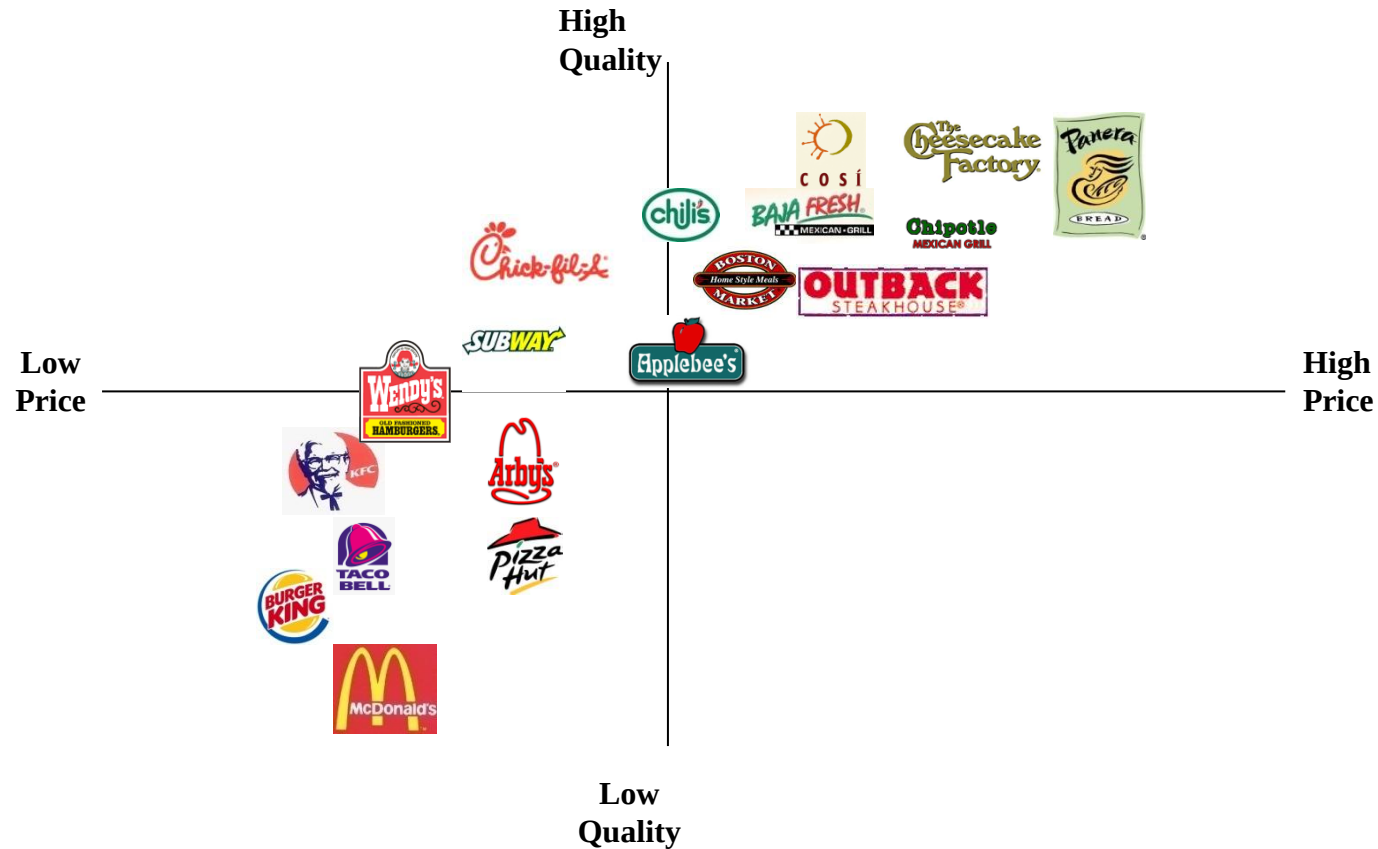
The elements of a strategy

- Strategy = distinctive array of choices that address
 - A desired outcome
 - Where to compete (**market positioning**)
 - Product
 - Customers
 - Geography
 - Value proposition
 - Source of CA (strategic positioning)
 - High-level (cost vs. differentiation)
 - Detailed level (activities, resources, capabilities)

Market Positioning

- Identify the two, three dimensions on which firms differentiate themselves in the market
- Plot your position vs. those of your competitors
- Provides an idea of where in the market space strategic convergence is likely to happen and where there might be opportunities

Market Positioning in US Fast Food



Strategy Audit Summary

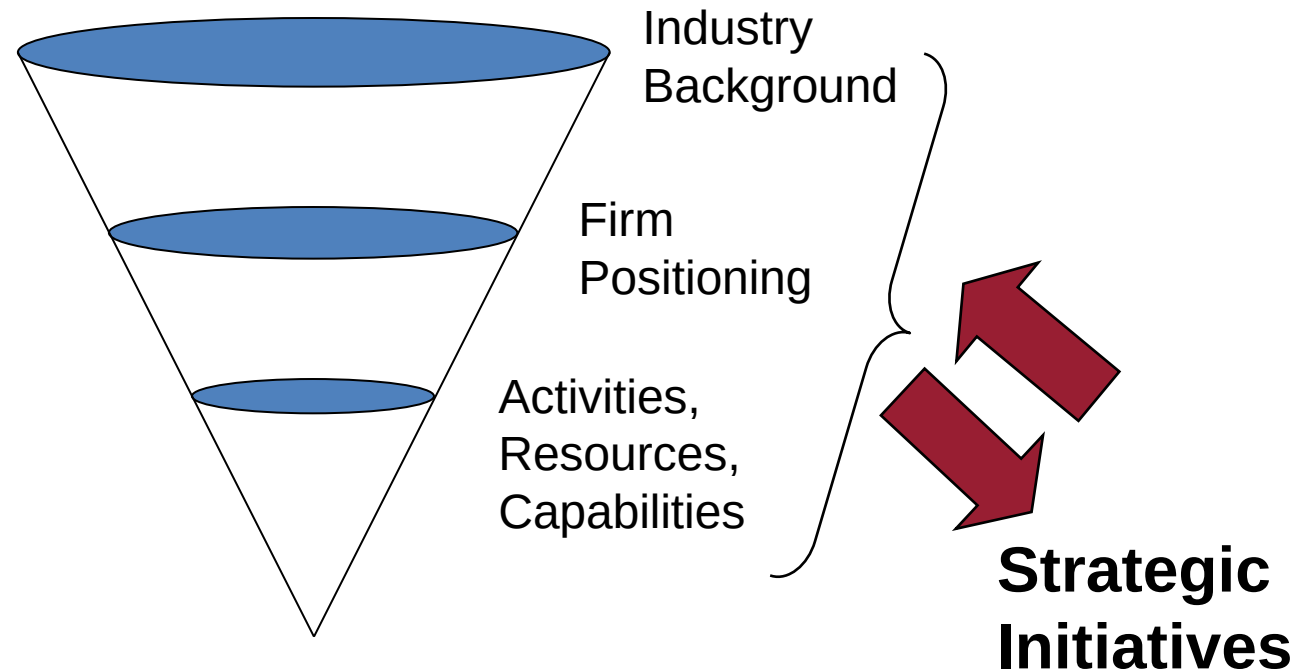
Strategy Audit Summary

- What is the condition of the industry today?
- Where is the industry going?
- What are the WTP and cost drivers for different segments?
- Where are we positioned? Where are our competitors positioned?
- Where are our competitors moving?
- How strong are our capabilities vs. competitors vs. world-class?
- What are our key activities? Are they OE or SP?
- How are we using corporate? How are we leveraging other divisions?

Strategy Audit

Tools

- Industry Analysis
- Scenarios
- Drivers of Cost and WTP
- Strategic Positioning
- Value Chain
- Activity System



Analyze the Structure of Your Industry Assignment

Industry Attractiveness

**Highly
Unattractive**

**Mildly
Unattractive**

Neutral

**Mildly
Attractive**

**Highly
Attractive**

Threat of Value Appropriation by Customers

High
Customer
Power

Low
Customer
Power

Size of key customers:	Large	←	→	Small
Price sensitivity:	High	←	→	Low
Switching costs (technical):	Low	←	→	High
Switching costs (brand):	Low	←	→	High
Ability to backward integrate:	Easy	←	→	Difficult

Threat of Value Appropriation by Suppliers

High
Supplier
Power

Low
Supplier
Power

Size of key suppliers:	Large	←	→	Small
Price sensitivity:	High	←	→	Low
Your switching costs (technical):	High	←	→	Low
Your switching costs (brand):	High	←	→	Low
Ability to forward integrate:	Easy	←	→	Difficulty

Rivalry among competitors

High Rivalry

Low Rivalry

The diagram illustrates five dimensions of competition intensity, each with a horizontal arrow indicating the direction of increasing intensity. The dimensions and their corresponding endpoints are:

- Number of effective competitors: Large (left) to Small (right)
- Market growth: Slow (left) to Fast (right)
- Degree of differentiation: Little (left) to High (right)
- Strategic stakes: High (left) to Low (right)
- Patents protect profits: No (left) to Yes (right)

Industry Attractiveness

Highly
Unattractive

Mildly
Unattractive

Neutral

Mildly
Attractive

Highly
Attractive

Barriers to Entry

Low Entry Barriers

High Entry Barriers

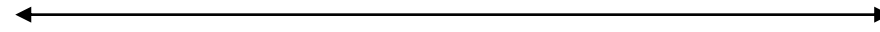
Scale-based benefits:	Little	←	→	Large
Experience, learning effects:	Little	←	→	Large
Capital requirements:	Small	←	→	Large
Value of reputation, brand:	Unimportant	←	→	Important
Access to distribution:	Unimportant	←	→	Important

Substitutes

Many substitutes

Few substitutes

Availability of close substitutes
for product or services:



Regulatory Factors

Impact of regulatory
Changes:

Negative

Positive



Industry Attractiveness

Highly
Unattractive

Mildly
Unattractive

Neutral

Mildly
Attractive

Highly
Attractive

Complementors

Other firms have exclusive
relationships with
complementors vs. we
have these relationships:

Negative



Positive

Other Factors

Negative



Positive

Other Factors

Negative



Positive

Understanding the Industry

Make a mark in each row for “the average firm” and for “your firm.”

	Industry Attractiveness					
	Current			Future		
Factors:	Un-attractive	Neutral	Attractive	Un-attractive	Neutral	Attractive
Power of Customers (make this industry...)						
Power of Suppliers						
Rivalry among Competitors						
Barriers to Entry						
Availability of Substitutes						
Regulatory Factors						
Growth Rates (make this industry...)						

Understanding the Industry

The two most significant factors affecting industry attractiveness are:

- 1.
- 2.

The two factors most likely to change significantly are:

- 1.
- 2.

The factors for which our firm is much better/much worse positioned (if any):

- 1.
- 2.

Evaluate the Positioning of your Organization Assignment

Differentiation

Make a mark in each row for “your firm” and 2–3 competitors.

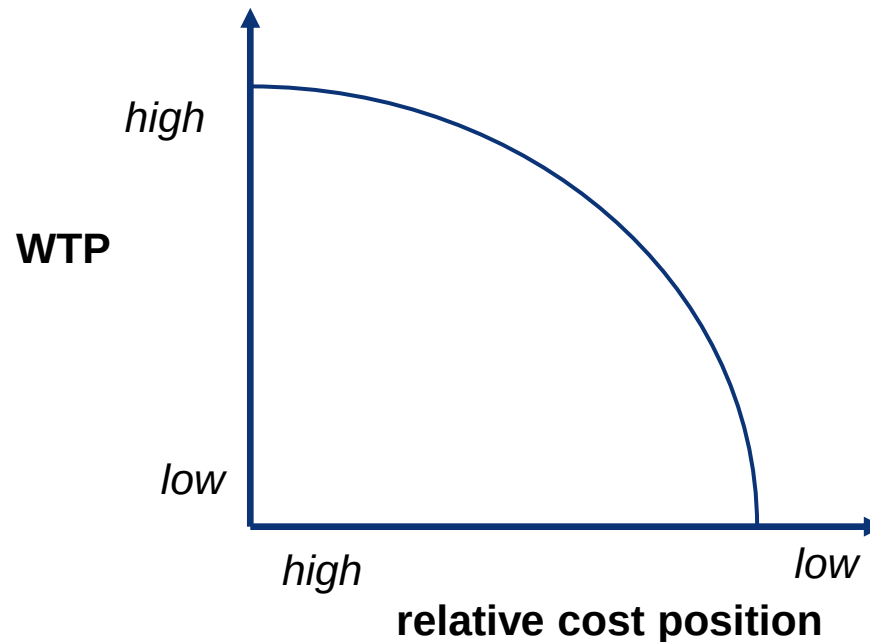
	Worst in industry		Average		Best in industry
	1	2	3	4	5
Drivers of WTP: (fill in relevant dimension)					

Cost

Make a mark in each row for “your firm” and 2–3 competitors.

	Worst in industry		Average		Best in industry
	1	2	3	4	5
Cost drivers:					

Strategic Positioning— Now and Future



- 1) Where are we located?
- 2) Where are our competitors currently located?
- 3) Where do we believe our competitors are moving toward?
- 4) Where do we see ourselves going?

MODULE 3

Maintaining your firm's dynamic fit



ONLINE

Considerations for the Honda (A) Case

Considerations for the Honda (A) Case

Read the Honda (A) case and think about the following questions

1. What is the strategy that has allowed Honda to be so successful in the motorcycle industry and, in particular, in the United States?
2. How did Honda come to have this strategy and its associated choices?

Analyzing Honda's Strategic Success

Debrief

What is the strategy that has allowed Honda to take the US market by storm?

Source of Competitive Advantage: low cost, but with reliability and brand image

Scope

- Product: small bikes, at least initially
- Customer: middle America, recreational use; “nicest people”
- Geography: start in West; then roll out nationally

What’s the underlying logic or engine of advantage?

Low price -> high volume -> low cost (-> low price)

Debrief (2)

How do their big investments in R&D, advertising, selling support fit with a low cost strategy?

They all boost sales, all fueling the positive feedback effect we just outlined

Note the fit between this “engine” and their strategy:

For scale economies to arise, we need to have a standardized product

We need a large enough market for this feedback effect to exist

Debrief (3)

So how did Honda come to have this strategy? What evidence do we have of forethought and planning?

Original strategy in Japan:

Early investments in R&R in Honda Technical Research Institute

Extensive vertical integration

Market research identifying untapped market segment for small bikes for deliveries

Construction of huge plant ahead of demand

In the US:

Clever selection of a target segment

Low prices used during period of product introduction

Focus on long-term profitability and market share rather than immediate profitability

Regional roll-out starting on the West Coast

Short poll: Answer the following questions (Yes/No)

In 1959, Honda enters the US market. When the Honda team landed in Los Angeles, what do you think they knew? (What is the extent of their plan?)

Did they...

- 1) know which of their motorcycle models they would emphasize?
- 2) know which customers they would target?
- 3) know the basic “demographic” features of the market (for instance, that Americans buy bikes in the spring and summer, and not the fall and winter)?
- 4) have basic financial goals for the US subsidiary (e.g., revenue targets)?
- 5) know the basic advertising message they would employ (“Nicest people”)?
- 6) know with which competitors they would overlap the most?
- 7) have detailed financial forecasts for the US subsidiary?

Background and Analysis of the Honda Case

Set up

Most people said...

It turns out that they didn't know or if they thought they knew, they had it wrong.

This gets us to the next cases

Here's the background... In 1978...

Honda/British Motorcycle Case

Please read the Honda (B) case and the British Motorcycle Industry at a Crossroads case. As you read them, please have the following questions in mind:

- 1) How did Honda discover the strategy that allowed it to be so successful in the motorcycle industry and, in particular, in the United States?
- 2) How did the British motorcycle makers get themselves into such a terrible position?
- 3) How large is Honda's competitive advantage?
- 4) What should NVT's management team do?

Review of Honda (B) and Development of Honda's Strategy

Honda B case

Last time when we read the A case... Seems like we need to revise our assessment:

Selection of product and customer segment

Low prices to overcome low brand recognition

“nicest people campaign” fell into our laps

Only regional roll-out was planned, but mis-timed

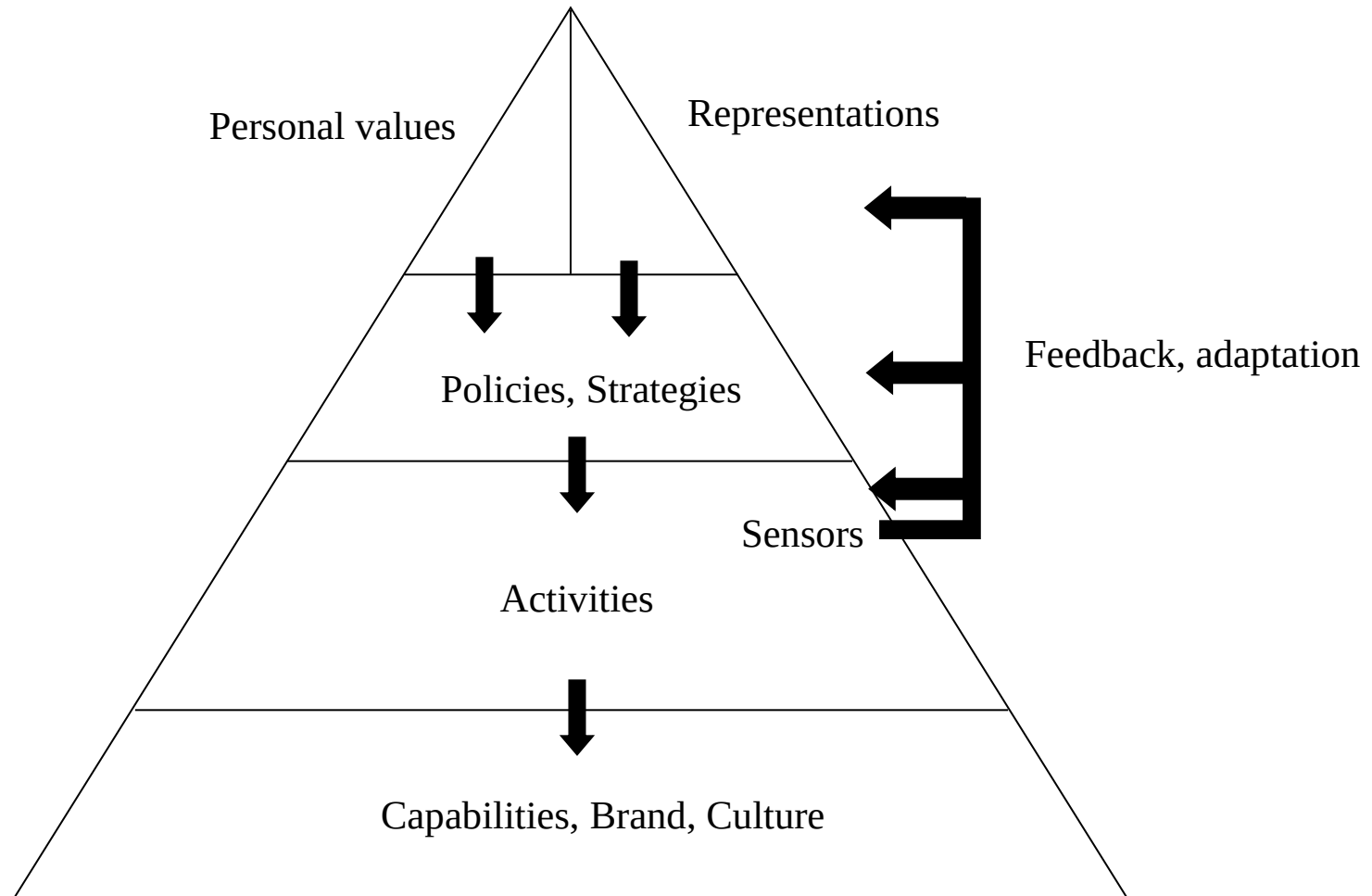
So if planning and forethought are not driving the strategy what did?

Honda-san; perseverance; experimentation; adaptation; lots of luck;

Why did they bring 25/25/25/25?

Role of Honda-san: love of tinkering, desire to win races; belief in technology

Drivers of Strategy Evolution



Gavetti and Rivkin: “On the Origin of Strategy” (2004)

Why is it so important to understand where a strategy comes from?

If you want to change it...

Evaluating the Honda Team and Strategy

Evaluating the Honda Team and Strategy

Do you give Honda's management team high or low marks?

Clearly great results; Luck; adapation; but not as well prepared as possible

If adaptability is great; where they simply opportunistic, or where there dimensions on which they didn't adjust?

Sears

Quality

Remarkable; think back to understanding tradeoffs.

So what are the dimensions on which managers should be flexible?

Lessons Honda (B)

The presence of an intricate system/strategy is not necessarily a sign of planning.

Highly elaborate strategies can emerge via an evolutionary process that involves experimentation, learning and adaptation.

This process is messy, but not random.

There are a range of factors that play a role and shape the process.

The adjustment part of this process involves selective flexibility.

Perceiving Environmental Change

Perceiving Environmental Change

Now let's turn to the practical situation that motivated all the analysis of Honda in the first place: the desperate crisis facing the management team of NVT.

How did the British motorcycle makers get themselves into such a terrible situation?

Common answers:

Didn't invest in manufacturing technology. Why?

Hubris; we've always been successful, why change? But at some point...

Slow in innovation

Didn't understand what customers wanted

Didn't invest in the sales channel

We've done quite some research on this topic of why successful firms don't change and we've identified four common barriers to adaptation:

1) Perception: Do we know we have a problem.

What was the first reaction of the British motorcycle industry when the Japanese entered?

This is a good example of a “disruptive innovation” where the entrant comes from below but then over time moves up.

Disruptive and Sustaining Technologies

“Disruptive Technologies”

Disruptive vs. sustaining technological changes

Characteristics

New technology is worse on the dimension most important to current customers, yet better on some other dimension valued by a rapidly growing segment.

Performance of new technology improves fast enough to satisfy the requirements (demand) of the main market after a while.

New technology may never outperform the old technology.

Leading firm held captive by their current customers (it is not a technological problem).

Christensen: The Innovator's Dilemma (1998)

Barriers to Reaction

Barriers to Reaction

Further barriers to change:

1) Perception

2) Knowledge.

Systemic change is difficult to identify

Read the excerpt

How do you feel?

3) Motivation

CEO

Worker identities

4) Capabilities/Coordination

Measuring Honda's Competitive Advantage

Cost advantage

	NVT	Honda
Retail price	2495	2112
Dealer mark-up	648	528
Whole sale price	1847	1584
Engine cost	484	349
Assembly	121	118
Components	606	437
Subtotal	1211	904
R&D	116	28-54
Freight/Packing/Duty	175	163
Advertising	58	23-44
Other S&D	267	215-236
Total cost	1827	$\Delta = 460$ 1354-1380
Contribution	20	204-230

Have we captured Honda's CA fully?

No, need to know differences in WTP.

Who has higher WTP?

Qualitatively

Quantitatively: $12\% \times 2112 = \$253$

Overall advantage: $460 + 250 = 710$ on product with 1850 wholesale price!

NVT's Next Move

Let's think back to the case series

Which was more historically accurate?

Which is more helpful to NVT?

Which is helpful to predict Honda's response?

Lessons from case series

Economics and History are two different subjects.

The economic logic of a successful strategy may not tell you much about the historical origins of the strategy.

Intricate strategies can arise from planning or by luck, experimentation and adaptation (messy but not random process).

Yet understanding the economic logic is valuable in either case.

Every strategy evolves over time.

Key open question: on what dimensions should one be flexible and on what dimensions not?

Failures arise from external threat and internal barrier to response (perception, motivation, knowledge, capability).

When and how do established companies (fail to) innovate?

1. Perception problem: We don't know we're behind
 - Measures, delays
 - Cognitive frames
 - Lack of vertical information flow
2. Knowledge problem: We know we're behind, but we don't know what to do about it
 - Don't understand the full system, interdependencies
3. Motivation problem: We may know what to do, but we won't do it
 - Don't have time to do it (overload; fire-fighting)
 - Don't have money/resources to do it
 - Asymmetric payoffs (risks higher than rewards)
 - What good is saving money if that just cuts my budget?
 - Rich and happy or resignation
4. Implementation problem: We know what to do and we want to do, but we can't get it done
 - Coordination problems (across divisions)
 - Sequencing problems => losing motivation if performance dips
 - Non-imitable/difficult-to-imitate resource or capability
 - Politics

Identify Firm Beliefs in your Organization

Assignment

List (at least) three choices/policies/tradeoffs that your firm has made that you believe should not be adjusted under any circumstance.

Do you believe there is general agreement within your organization about this?

Optional: ask three of your colleagues the first question above. How much agreement was there?

Environmental Changes and Your Firm

Assignment

Recall an instance in which your organization failed to respond to an environmental change. Which of the four barriers played a role?

- Perception
- Knowledge
- Motivation
- Capabilities

MODULE 4

Creating new strategies and initiatives



ONLINE

Strategic Planning

Common feelings about “The strategy planning process”

“Gives me a headache even thinking about it”

“Usually unproductive; a complete time sink”

“It’s March already???”

“Does anyone actually read all the slides we produce?”

“This has never really produced any new ideas; it’s only used to legitimize decisions already made.”

Dismay, disdain, despair.... because in most companies and at most times, strategic planning processes do not produce strategies

Key tests of effective competitive strategies: What is strategy?

A strategy is an integrated set of choices
that positions a firm in an industry
so as to generate superior financial returns
over the long run

Three core jobs of a strategist

A strategy is an integrated set of
choices
that positions a firm in an **industry**
so as to generate **superior** financial
returns
~~over the long run~~

Internal choices

Job 2: configure all of a firm's choices to attain a competitive advantage

External environment

Job 1: size up the external environment of a firm in its entirety

Competitive dynamics

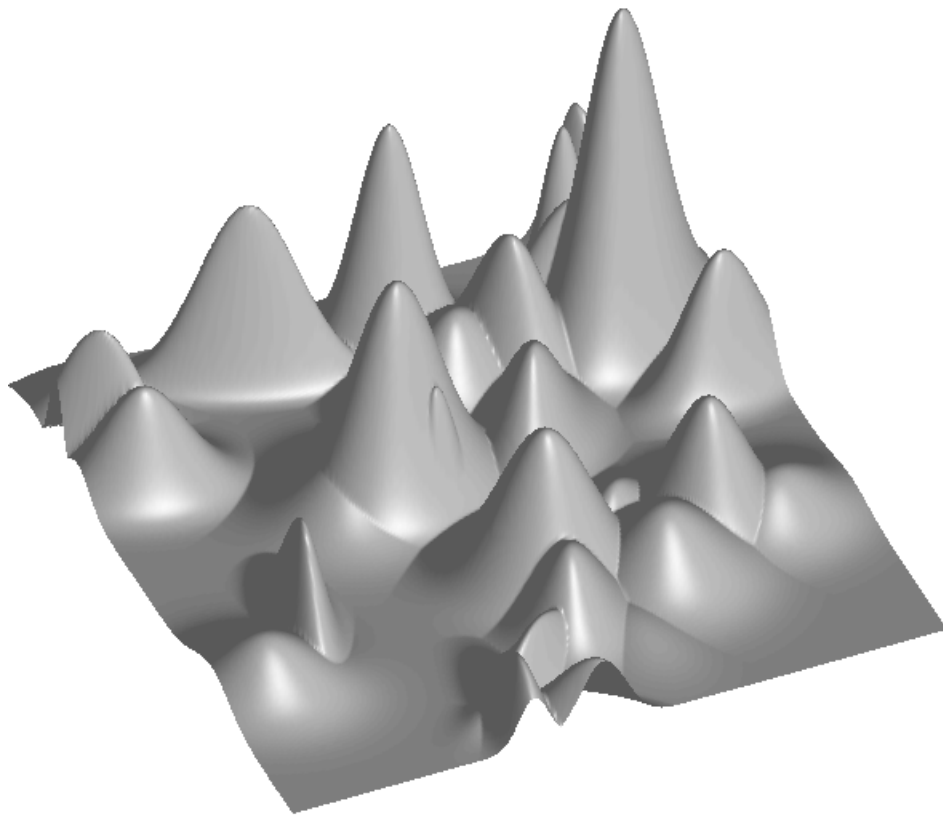
Job 3: sustain a firm's competitive advantage over time

Key Tests of Effective Competitive Strategies

- **External consistency**: Does the strategy tap the opportunities and neutralize the threats posed by the outside world in a unique manner?
- **Internal consistency**: Do the parts of the strategy fit together to form a whole that is greater than the sum of the parts?
- **Dynamic consistency**: Does the strategy call on the company to do today what is necessary to succeed tomorrow?

Generating and Evaluating Strategy

Finding a new peak in rugged performance landscapes



Finally we found the peak!



Strategy generation & evaluation

- Many strategies and initiatives are incremental, refining our existing peak (and that's ok), but how can we increase the likelihood of creating larger, systemic strategies, of finding a new peak?
- We have a lot of tools to evaluate strategies. The more data, the more exhaustive the analyses, the more “scientific” we feel. How can we make sure we run the relevant analyses, and not just “nice-to-know” analyses?



Strategy generation & evaluation

- Creative “jam sessions” to generate “out-of-the box” ideas are fun, but these ideas are quite often impossible to implement. “There’s a reason we keep those ideas outside the box.”



Strategy generation & evaluation

- We suggest to use the scientific method: integral to the scientific method is the creation of novel hypotheses and the careful generation of custom-tailored tests for these hypotheses. (“Bringing Science to the Art of Strategy”)



A possibilities-based approach to making strategic choices

1

- Cross-functional team generates a set of truly distinct, integrated strategic possibilities

2

- Team agrees on the “burden of proof” required to select one integrated possibility over the others

3

- Team conducts required analyses

4

- Team chooses a possibility based on the analyses

A Possibilities-Based Approach to Making Strategic Choices

A possibilities-based approach to making strategic choices

1

- Cross-functional team generates a set of truly distinct, integrated strategic possibilities

2

- Team agrees on the “burden of proof” required to select one integrated possibility over the others

3

- Team conducts required analyses

4

- Team chooses a possibility based on the analyses

What is a possibility?

- Each possibility is essentially a happy story that describes how the firm might succeed in the marketplace
 - Where does the firm play and how might it succeed
- At this point, each possibility should be internally consistent, but not required to be proven “valid”
- Each possibility needs to be told with some detail (not just a motto, “Go global” or a goal “Be number one”)
 - What’s the competitive advantage?
 - What’s the scope of the strategy?
 - What activities are involved?

Strategy-making processes:

Elements of a strategic possibility

Type of Advantage

- Basic logic of how you make money (e.g., low cost, differentiation on X)

Scope of Advantage

- Customer scope:
 - Segments targeted
- Product scope:
 - Breadth of product line
- Geographic scope:
 - Locations served
- Vertical scope:
 - Make vs. buy

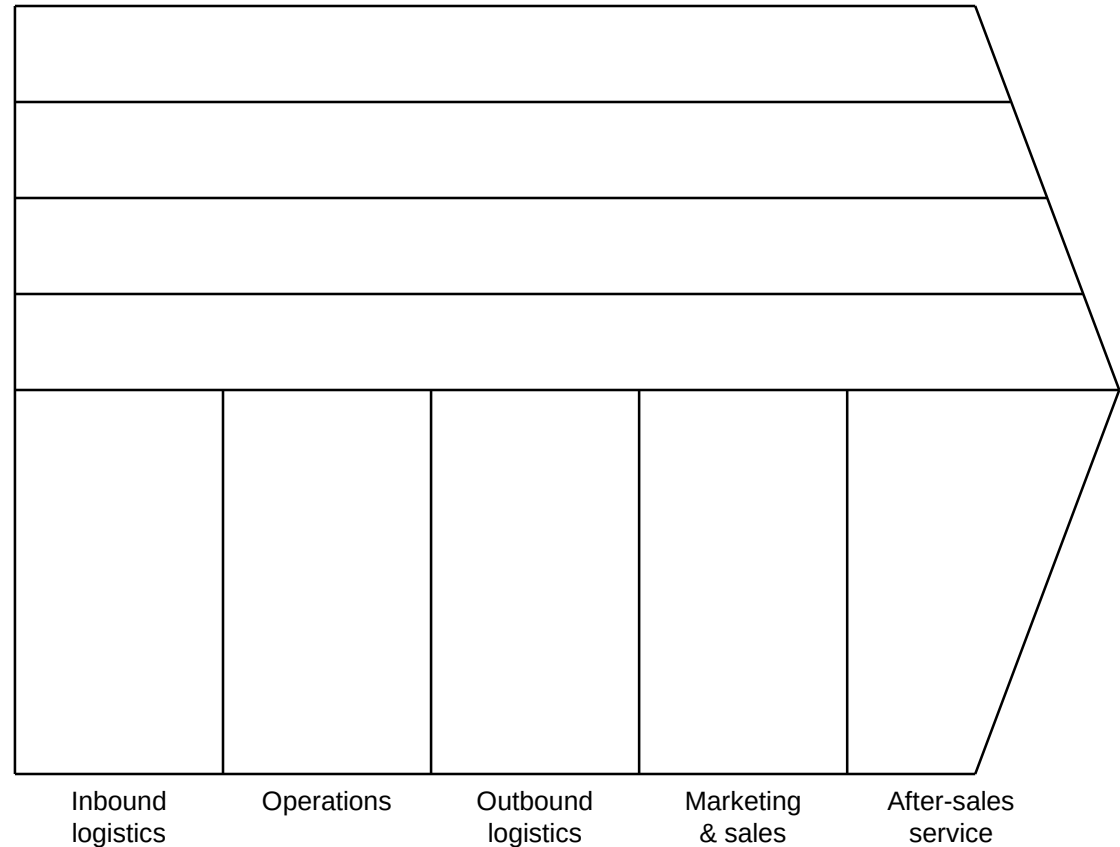
Activities

Firm infrastructure

Human resources

Technology development

Procurement



Example: Procter & Gamble's Olay

- In 1999 P&G had only a small business in beauty
- Stronger position in shampoo with Head & Shoulders and Pantene
- Much weaker position in skin-care with Oil of Olay (1985 acquisition of Richardson-Vicks)
- To become a credible player in the beauty segment, P&G felt they had to build a consequential skin care business, the biggest beauty business with approximately \$50 billion in industry sales globally
- Oil of Olay, \$250 million brand sold only through mass channels with a low price point (about \$5)



Proctor & Gamble's initial choice



Buy a major skin care brand

OR



Grow Olay into
something
more
substantial

Idea Generation

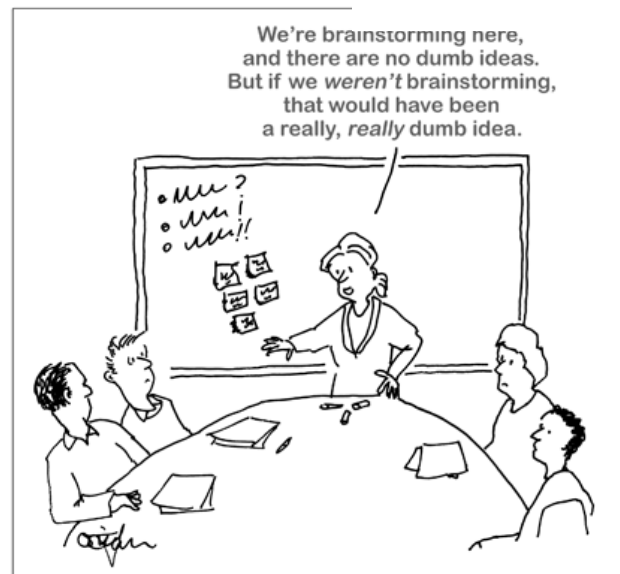
Process for creating strategic possibilities

- How many? More than one! Usually 3-5.
- It is useful to include the status quo as one of the possibilities
- Who should be involved?
 - Diverse group (specialties, backgrounds, experience)
 - Include individuals who did not create the status quo
 - Include operating managers, not just staff (build early commitment)



Process for creating strategic possibilities

- The group needs to commit to separate possibility generation from evaluation
- This is not the time (yet) to shoot down ideas
- Leadership is important at this point



Process for creating strategic possibilities

- Start with each individual generating ideas (30 minutes)
 - Overcome production blocking; evaluative pressures; free-riding (2-3x more ideas)
- If the group is large, then form subgroups (4-5 people) to flesh out ideas
- One-day off-site, or spread out to reflect and build on ideas



Idea generation

- ***Inside-out*** questions: What does our company do especially well that parts of the market might value, that might produce a superior wedge between costs and buyer value?
- ***Outside-in*** questions: What are the underserved needs, what are the overserved needs, what are the needs that customers find hard to express, and what gaps have competitors left open?
- ***Far-outside-in*** questions employ analogical reasoning: What would it take to be the Google, the Apple, or the Wal-Mart of this market?

Proctor and Gamble's Idea-Generation Process

Idea generation for P&G



Inside-out: make sure to take into account P&G's corporate strengths in consumer understanding, product innovation, and brand building



Outside-in: worked with dermatologists to uncover new insights, e.g., seven signs of aging: not just lines and wrinkles, but rough skin texture, dullness of skin's appearance, larger appearance of pores, blotchiness, dry skin, age spots

When are we done with this step?

You will know that you have a good set of possibilities for further work if the following is true:

- First, the status quo doesn't look like a brilliant idea: At least one other possibility is quite intriguing to the group, enough to make the group start to really question the status quo.
- Second, at least one of the possibilities makes most of the group nervous: At least one possibility is sufficiently far from the status quo that it makes the group question whether it would be at all doable or safe.

Important shift in mindset:

“What should we do?”



“What might we do?”

Possibilities for Olay

1. Abandon Olay and acquire a new brand
2. Take Olay into the prestige distribution channel, department stores and specialty beauty shops, as an upscale brand competing with Estée Lauder, Clarins, La Prairie.
3. Continue focusing on the 50+ year old female consumer and provide breakthrough wrinkle reduction
4. Aim for a younger customer segment, women 35-50, who were experiencing some of the 7 signs of aging and who weren't targeted by the prestige channel or the brands that targeted the older, wrinkle-focused segment. Target traditional mass channel, but try to get special display sections in retailers. Pricing in the \$15-20 range.
5. Extend the successful existing Cover Girl brand into skin care and build a global brand on that platform

Burden of Proof

A possibilities-based approach to making strategic choices

1

- Cross-functional team generates a set of truly distinct, integrated strategic possibilities

2

- Team agrees on the “burden of proof” required to select one integrated possibility over the others

3

- Team conducts required analyses

4

- Team chooses a possibility based on the analyses

Burden of proof

- Reverse-engineer each possibility: What must be true for the possibility to be a terrific choice?
- Important: This step is decidedly not for arguing about *what is true*.
- By focusing on “What would have to be true?” it fleshes out the underlying logic and makes more concrete the sources of skepticism.
- Lastly, it identifies the critical analyses to be done in the next step.

Setting the burden of proof

1. What would one have to believe about the external world?
 - What would one have to believe about customers? E.g., about what they want and are willing to pay for, about how they buy, about how many there are, about what segments exist
 - What would one have to believe about competitors? E.g., about their capabilities
 - What would one have to believe about suppliers, complementors, channels, regulators, etc.?
2. What would one have to believe about the internal world = the company itself?
 - E.g., about cost position, capabilities, culture
3. What would one have to believe about dynamics = the future?
 - E.g., about competitor reaction, entrants, development of technology and substitutes

Burden of proof for 4th option for Olay

4. Aim for a younger customer segment, women 35-50, who were experiencing some of the 7 signs of aging and who weren't targeted by the prestige channel or the brands that targeted the older, wrinkle-focused segment. Target traditional mass channel, but try to get special display sections in retailers. Pricing in the \$15-20 range.



Burden of proof for 4th option for Olay

Segmentation: There is a big enough segment of women in their 30s and 40s who would fight 'the seven signs of aging' if given a compelling product offering.

Channel Value: The mass channel will partner with P&G to create a 'masstige' experience because P&G can give them sufficient growth – new segment growth and growth from consumers shifting from specialty and department stores to mass.

Consumer Value: Consumers will switch from department and specialty stores to buy skincare in the mass channel. Consumers will value the benefits enough to pay a premium more than current but still less than Clinique (with opening prices of \$25 to \$50+)



Burden of proof for 4th option for Olay

P&G Capabilities: P&G can create a product that delivers on the ‘fight the seven signs of aging’ promise. P&G can get strong and cooperative partnerships with the mass retailers. P&G can create the holistic purchase and usage experience that will earn close-to-prestige channel pricing.

Competitor Prediction: Prestige brand competitors will not attempt to follow Olay into the ‘masstige’ positioning because of channel conflict. Mass competitors, such as Dove, will be slow to follow because it will be difficult for them to achieve Olay’s price point and thereby support the required cost structure.



Process for Setting the Burden of Proof

Process for setting the burden of proof

- The whole group is involved, not just the originator of idea
- At the first stage, be inclusive with conditions; ask only the underlying rationale for a condition; then put it on the list.
- At the end of this stage ask: If all of these conditions were in fact true, would you advocate for and support this choice?
 - If all agree proceed; if not, ask those who don't advocate it what is missing
- This process uncovers the underlying logic for and against this idea

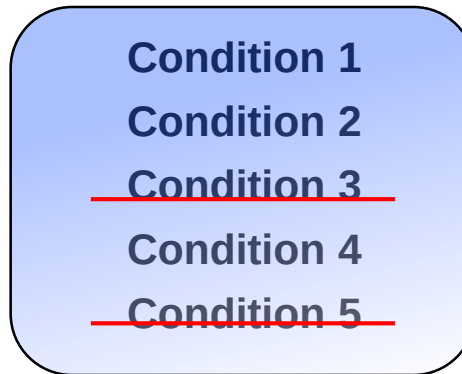


Process for setting the burden of proof

- Perform a premortem (Gary Klein)
 - What did go wrong?
 - Generate plausible reasons for the failure of the strategy
 - “prospective hindsight”
 - Important: At this stage there is a strict prohibition against declaring whether any condition is actually true or not
- => Creating a well-specified hypothesis that can be tested.

Process (continued)

- **Cull conditions:** In the next step, try to cull “nice-to-have’s” and be left with “must-have’s”



- For each condition ask: “If every other condition was demonstrated to hold but this one didn’t, would you eliminate the possibility or still view it as viable?”
- At the end of this, we still need to have full agreement on “if all of these conditions held true, would you advocate for and support this possibility?”

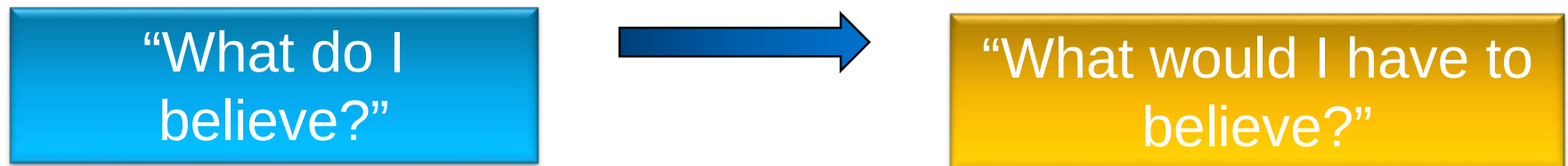
Process (continued)

- Next, socialize the reverse-engineered possibility: repeat the process with whoever needs to eventually approve the possibility. Better to find out objections now, not later.
- Ask: “If it turns out that these conditions can be shown to hold true, would you be confident of choosing this possibility as well? If not, what additional conditions would you want to include in the reverse-engineered position?”
- The status-quo should be included. This can be quite insightful. The status-quo is rarely riskless.



Process (continued)

Important shift in mindset:



Burden of proof for the status-quo: External conditions

For our current strategy to work, what do we have to believe?

- Customers
 - What do our customers want?
 - What are they willing to pay for?
 - How do they buy? What channels do they use?
 - How many buyers are there?
 - What segments exist?
- Competitors
 - Capabilities of competitors?
- Suppliers?
- Distributors/Channels?
- Regulators?
- Complementors?

Burden of proof for the status-quo: Internal conditions

For our current strategy to work, what do we have to believe?

- Our company
 - What is our cost position relative to our competitors?
 - What capabilities/resources do we need in the areas of...
 - R&D
 - Operations
 - Sales and Distribution
 - Marketing
 - After-sale service
 - Procurement
 - Human Resource Management
 - Regulatory/Policy/Stakeholder management
 - Etc.

Burden of proof for the status-quo: Dynamic conditions

For our current strategy to work in the future, what do we have to believe?

- Competitors
 - How will our competitors react?
 - What new competitors might (not) enter?
- Technologies
 - What new technologies will be developed/not developed?
 - What substitutes might be developed?
- Customers
 - Will customer tastes change?
 - Will segment sizes change?
- Macro-economic conditions
 - How will the overall economy behave?
 - How will regulation evolve?

Other Conditions and Design Tests- Olay Example

A possibilities-based approach to making strategic choices

1

- Cross-functional team generates a set of truly distinct, integrated strategic possibilities

2

- Team agrees on the “burden of proof” required to select one integrated possibility over the others

3

- Team conducts required analyses

4

- Team chooses a possibility based on the analyses

Order conditions and design tests

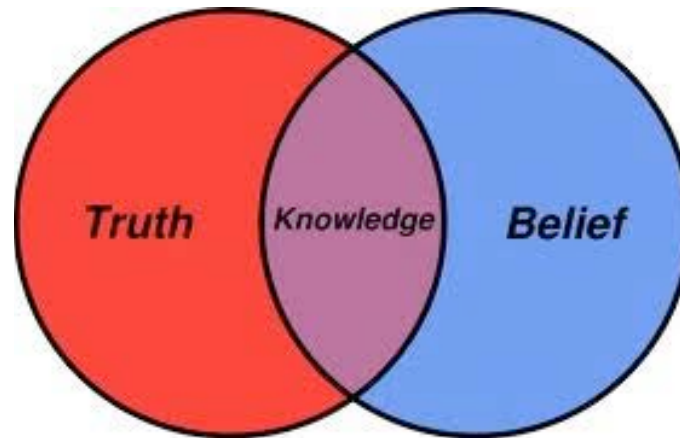
- Order conditions: at the top of the list is the condition that the group thinks is least likely to be true

Condition 3 (least likely to hold)
Condition 1
Condition 5

- Skeptical group members must be encouraged to raise, not suppress, concerns
 - Let the most skeptical person design the test
 - If possible, make the most skeptical person for a condition also the one to conduct/lead the analysis
- Sometimes more than one test is needed to convince everyone about a particular condition

Conduct required analyses

- Sequence the analyses by starting with the one that the group feel is least likely to hold; if it doesn't no further analysis is needed
- This is a key difference to many consulting projects that analyze everything (whether relevant or not) and often sacrifice depth for breadth
- Tests will not eliminate all uncertainty. That is why it is important to create testable conditions for the status quo: The team then clearly sees that the status quo is not free of risk either.



Olay team's ordering of barriers to choice

1. **Consumer Value**: Consumers will value the benefits enough to pay a premium (with opening prices of \$25 to \$50+)
2. **Channel Value**: The mass channel will partner with us to create a 'masstige' experience because we can give them sales growth and a product win-win.
 - Consumers will switch from department and specialty stores to buy skincare in the mass channel.
3. **P&G Capabilities**: We can create a prestige-like brand positioning, product packaging, and in-store promotion elements in the mass-retail channel

Olay team's tests

1. They designed in-market tests with important retail partners.
2. They designed concept, advertising and simulated purchase tests with consumers.
3. They created simulations to 'war game' the likely behavior of the key competitors, especially from the lower end of the prestige brand competitors.



Olay team's test results

- The most challenging test with the most surprising results was with respect to price points
- They tested the product at \$12.99, \$15.99, and \$18.99



Olay team's test results

- Positive response at \$12.99, but most were mass shoppers; very few department-store shoppers were interested at that price point
- At \$15.99, purchase intent dropped dramatically.
- At \$18.99 intent went way up. At that price point, shoppers who shop in both channels became interested. It was just below Clinique and considerably below Estée Lauder.
- For the prestige shopper, it was great value, but not too cheap to be credible.
- For the mass shopper, it signified that the product must be considerably better than anything else on the shelf.



Shifts in Mindset

A possibilities-based approach to making strategic choices

1

- Cross-functional team generates a set of truly distinct, integrated strategic possibilities

2

- Team agrees on the “burden of proof” required to select one integrated possibility over the others

3

- Team conducts required analyses

4

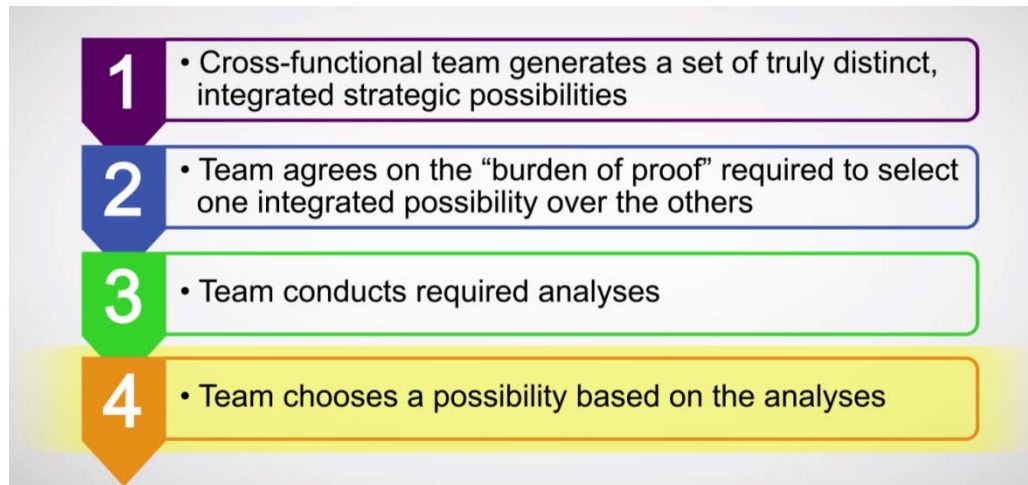
- Team chooses a possibility based on the analyses

Olay team's recommendation

- The Olay team recommended to launch the first new line Olay Total Effects at \$18.99
- Retail partners loved it and saw new shoppers buying at new price points
- Over time, added new lines, at higher price points.
- Olay grew at 15% compound from the re-launch in 2000 and became a \$2.5 billion brand.



A possibilities-based approach to making strategic choices: Shifts in mindset



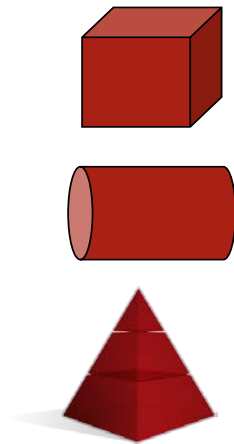
“What should we do?” $\Rightarrow$ “What might we do?”

“What do I believe?” $\Rightarrow$ “What would I have to believe?”

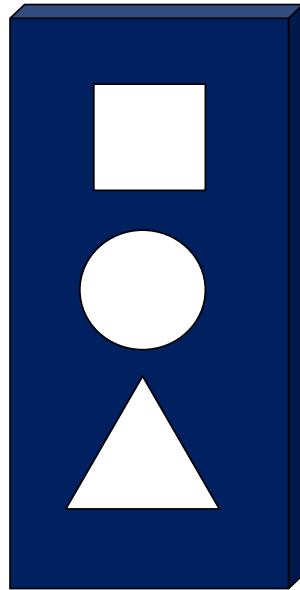
“What is the right answer?” $\Rightarrow$ “What are the right questions?”

A possibilities-based approach to making strategic choices

1) Formulate multiple integrated alternatives

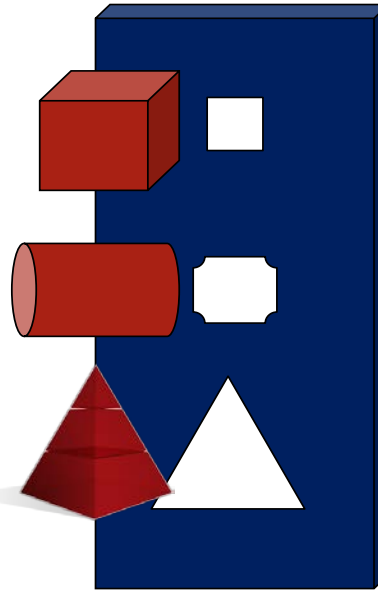


2) Set burden of proof



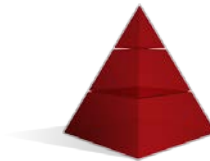
What would have to be true about the world, for the alternative to be a good solution?

3) Conduct implied analyses



Which alternative fits best with how the world actually looks?

4) Choose among alternatives

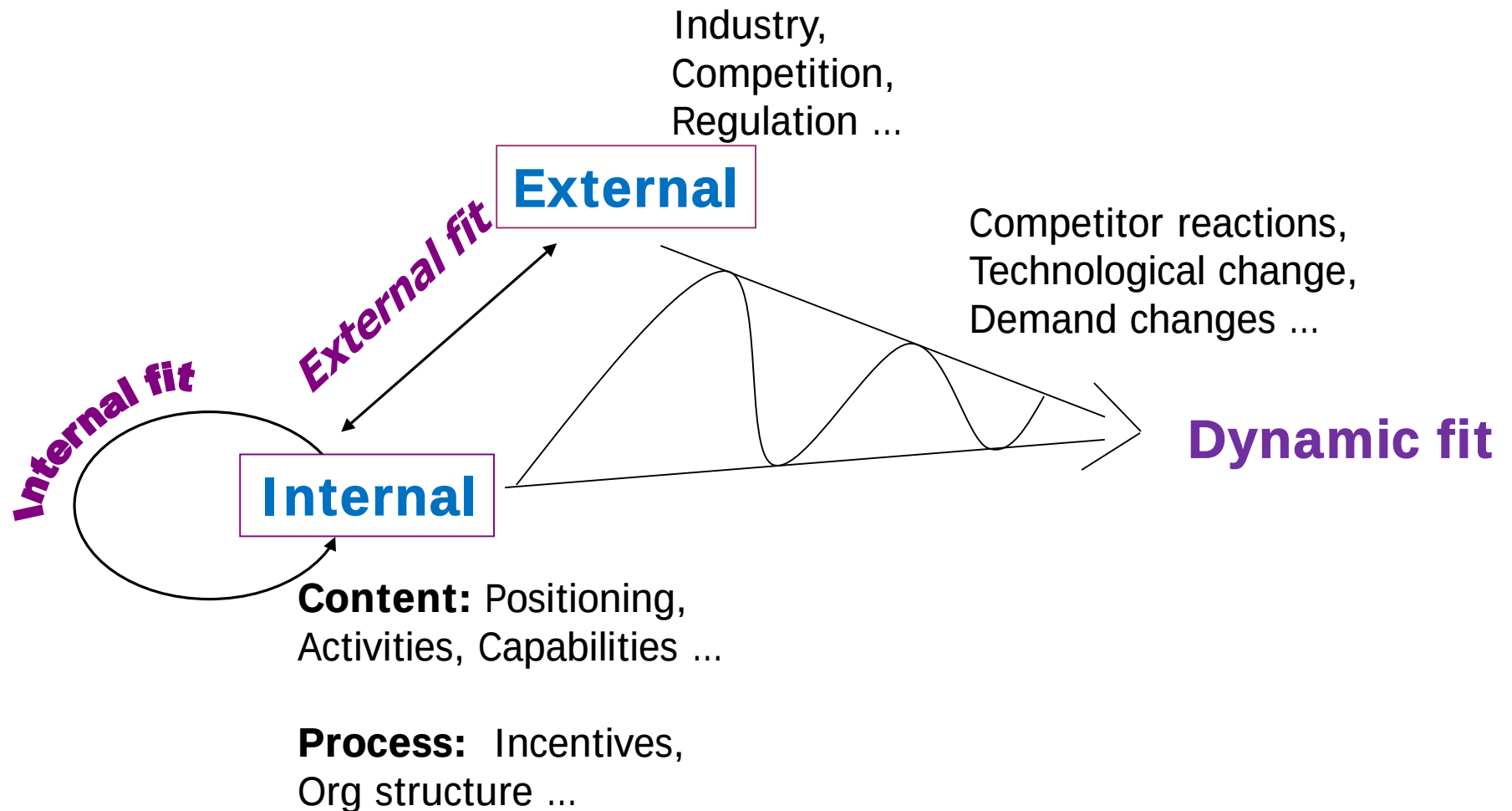


Analyze your Current Strategy Assignment

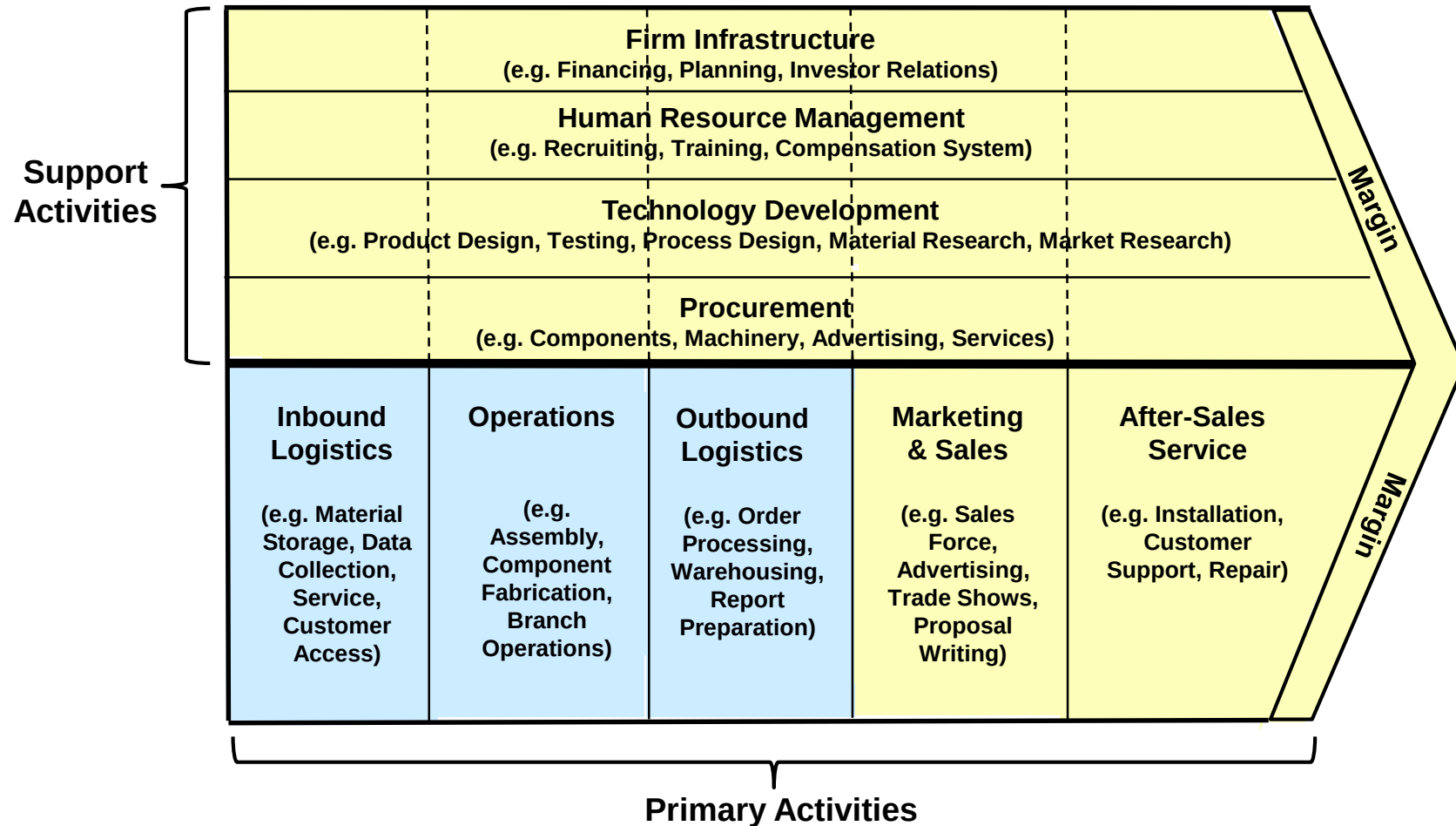
- Describe your current strategy (or a strategic initiative):

Summary

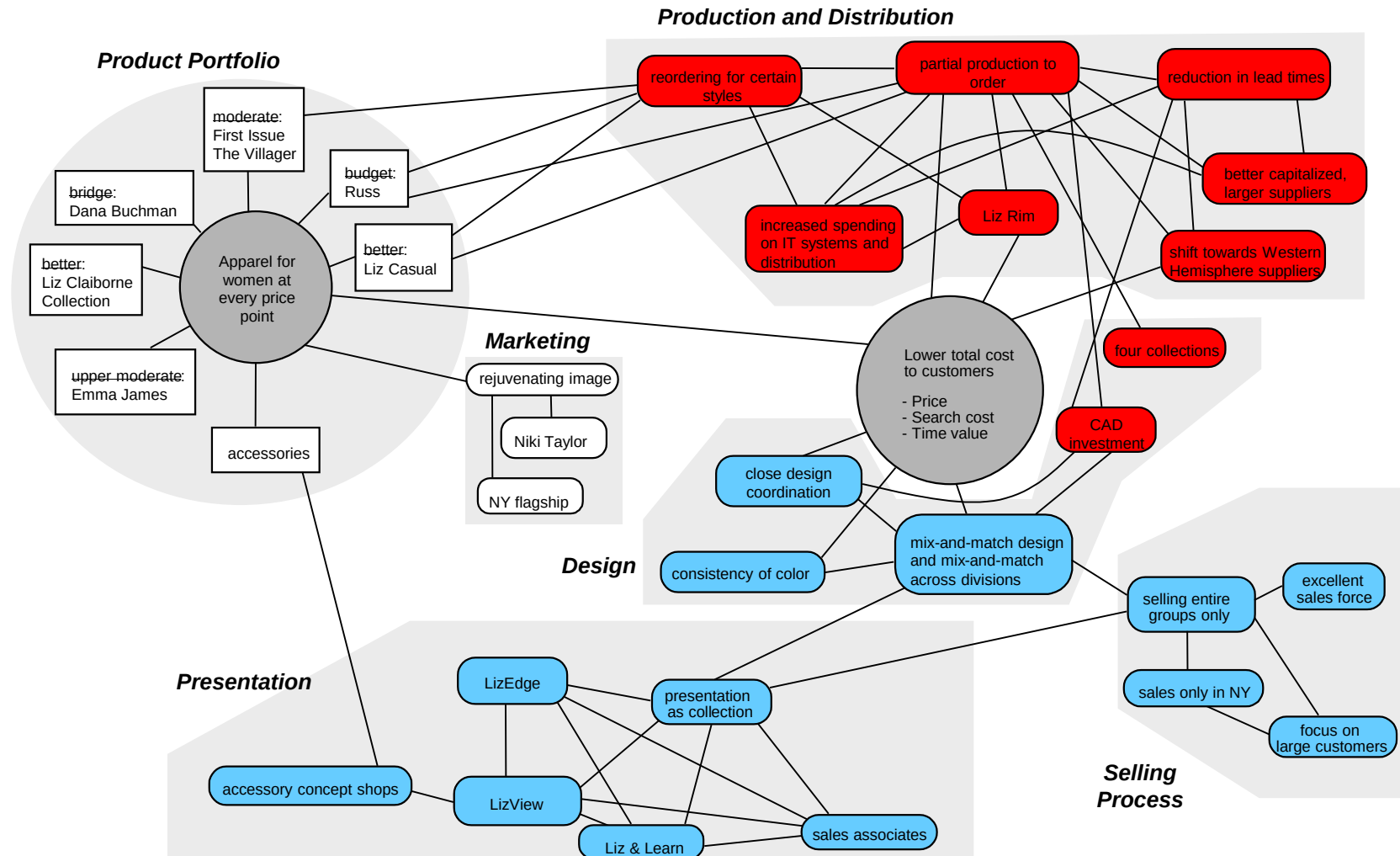
Three types of fit to evaluate a strategy



The Value Chain



Choices in 1997



Complementarities

Two elements A and B are complementary if doing more of A increases the value of doing more of B.

misalignments are costly

coordination becomes important

Complementarities (or interactions in general) create a very rugged landscape.

you can get stuck on a local (low) peak

the height of peaks can change

you may have to traverse a “valley of death” to get to the next peak

Use of Systems of Interconnected Choices Maps

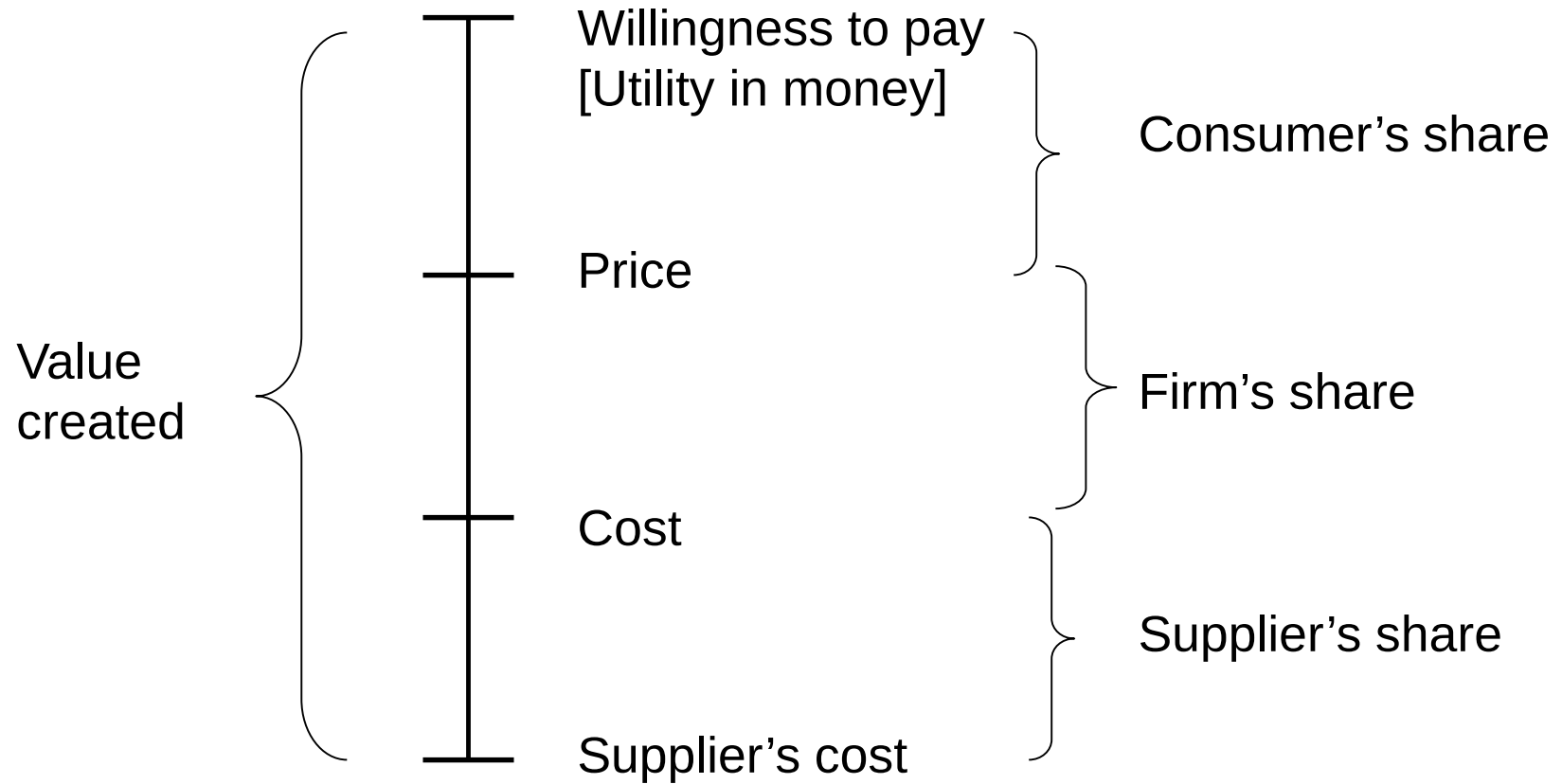
Consistency check of present implementation of positioning (fit vs. misfit)

Uniqueness check (What are the roots of our added value?)

Consistency check for future expansions

Guide for changes to system (What can stay constant? What has to change?)

Value Created



Value Appropriation- Industry Analysis: 5 Forces

- **Who wants to appropriate value?**
 - Buyers→ Lower Price
 - Suppliers→ Increase Price } Supply Chain
- **Who else limits the amount you can appropriate?**
 - Current Competitors→ Lower Price
 - New Competitors → Lower price
 - Substitutes → Lower price
- **What other factors determine profitability in your industry?**
 - Regulation?

Complementors

A player is your complementor if customers value your product *more* when they have the other player's product than when they have your product alone.

A player is your complementor if it is *more* attractive for a supplier to provide resources to you when they also supply the other player than when they supply you alone.

Brandenburger/Nalebuff: Co-opetition (1996)

Added Value and Value Appropriation

Transaction-level CA $\approx$

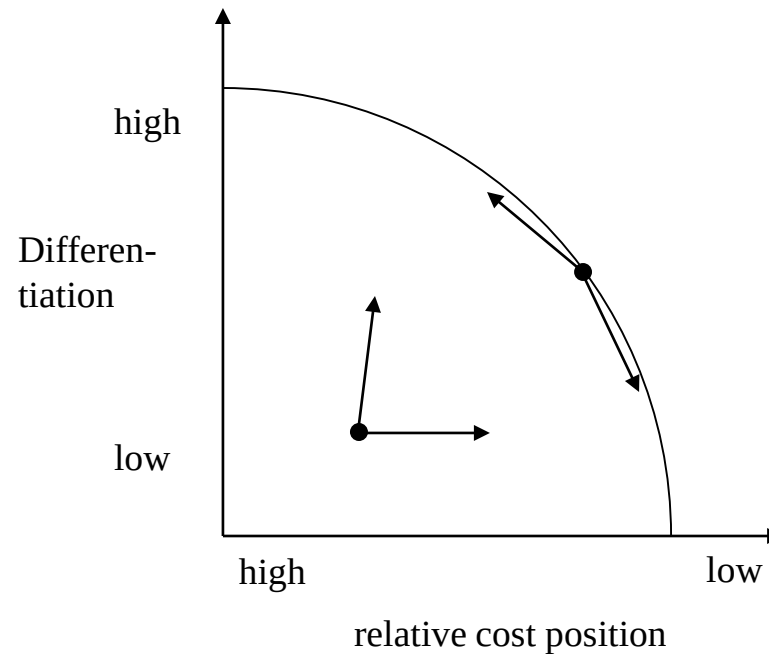
$$(WTP - Cost)_{\text{you}} - (WTP - Cost)_{\text{others}}$$

Thus, you need to create asymmetries.

Brandenburger/Stuart: “Value-Based Business Strategies” (1996)

Strategic Positioning

Strategic Positioning = Performing different activities



Porter: "What is Strategy?" (1996)

Implications

At the frontier there are tradeoffs!

Moreover, sustainable positions require trade-offs:

- makes imitation through straddling more difficult

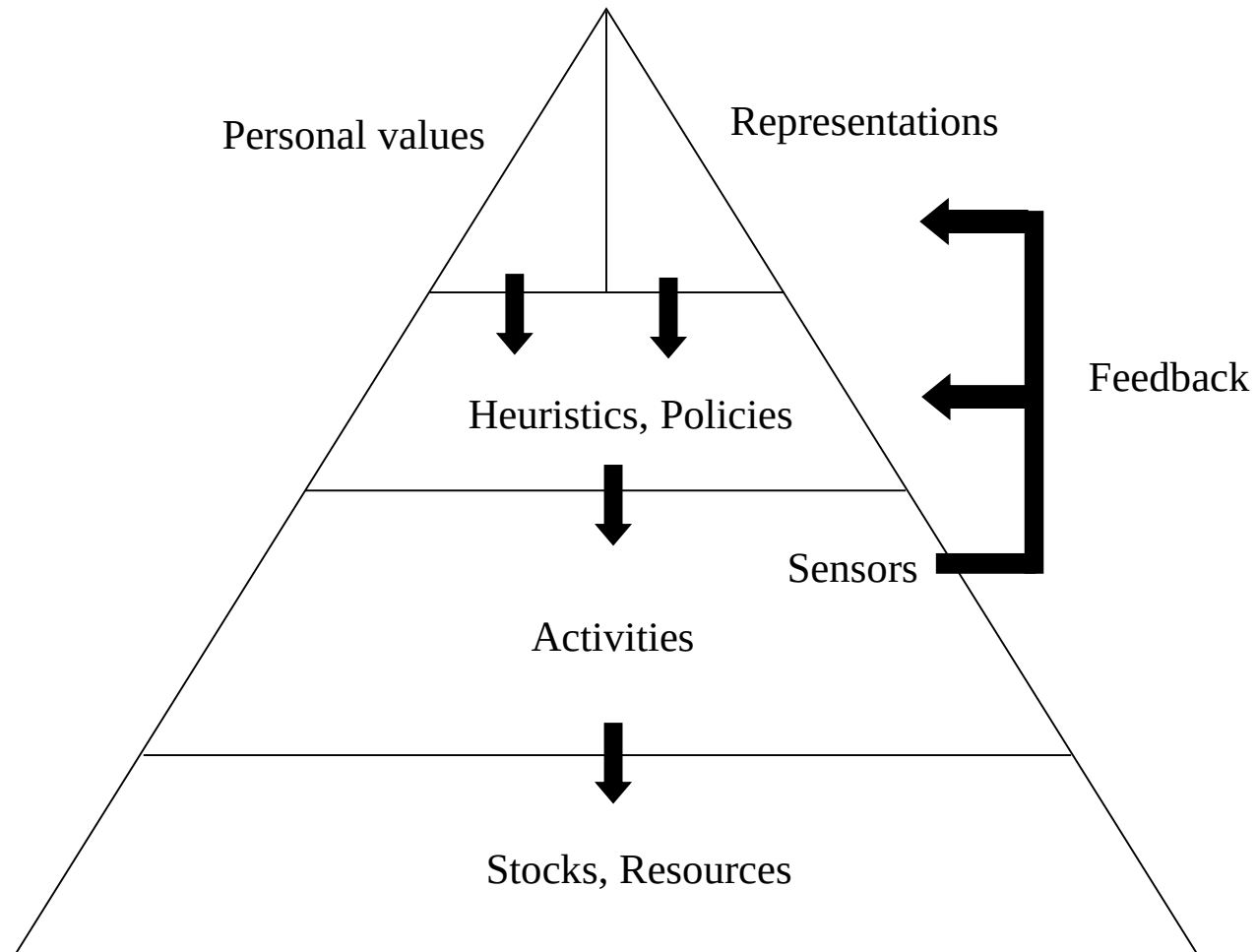
- inconsistencies in reputation

- different set of optimal activities

- limits on internal coordination and control

The essence of strategy is choosing what not to do.

Porter: “What is Strategy?” (1996)



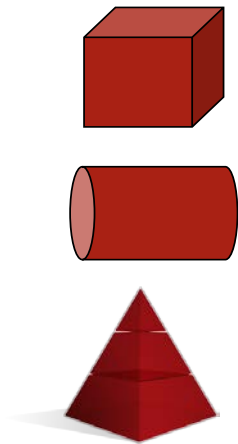
Gavetti and Rivkin: “On the Origin of Strategy” (2004)

When and how do established companies (fail to) innovate?

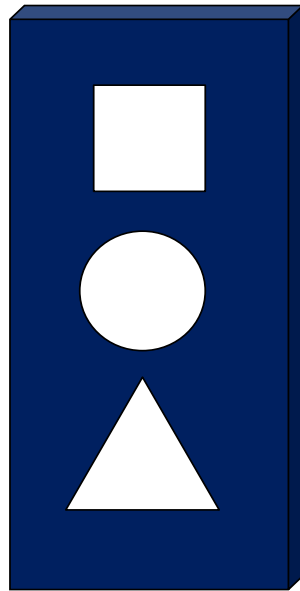
1. Perception problem: We don't know we're behind
 - Measures, delays
 - Cognitive frames
 - Lack of vertical information flow
2. Knowledge problem: We know we're behind, but we don't know what to do about it
 - Don't understand the full system, interdependencies
3. Motivation problem: We may know what to do, but we won't do it
 - Don't have time to do it (overload; fire-fighting)
 - Don't have money/resources to do it
 - Asymmetric payoffs (risks higher than rewards)
 - What good is saving money if that just cuts my budget?
 - Rich and happy or resignation
4. Implementation problem: We know what to do and we want to do, but we can't get it done
 - Coordination problems (across divisions)
 - Sequencing problems => losing motivation if performance dips
 - Non-imitable/difficult-to-imitate resource or capability
 - Politics

A Possibilities-based Approach to Making Strategic Choices

1) Formulate multiple integrated alternatives

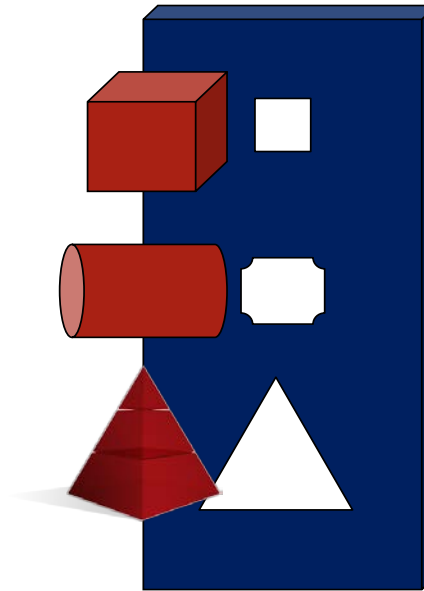


2) Set burden of proof



What would have to be true about the world, for the alternative to be a good solution?

3) Conduct implied analyses



Which alternative fits best with how the world actually looks?

4) Choose among alternatives

